

Price is two traders making a **buy and sell decision**.

Price movement is a **function of supply and demand**.

Supply is the amount of a product which sellers want to sell at a particular price.

Demand is the amount of a product which buyers want to buy at a particular price.

Price will move with changes in supply and/or demand.

Demand has overwhelmed supply, leading to price rallying. **Price continued to rally until there were no more buyers willing to pay a higher price.**

Supply has overwhelmed demand. **Price has fallen until there is no-one willing to sell at a lower price.**

Important point... it's not just the number of participants that is most important, but the desperation, or urgency, with which they are seeking a transaction.

Financial markets.

We now have what is known as a **dual-auction process**.

Multiple buyers competing to buy into the market, and multiple sellers competing to sell into the market; all at the same time.

Price rises while demand is greater than supply, and while those buyers are willing to pay higher prices.

Price rises until we run out of buyers, or until supply increases sufficiently to absorb all the demand.

Price falls while supply is greater than demand, and while those sellers are willing to sell at lower prices.

Price falls until we run out of sellers, or until demand increases to the point it absorbs all the supply.

Or more correctly...**price movement is a result of supply/demand imbalance**. And the **supply/demand imbalance is created by trader's sense of urgency to transact**.

Individual trader sentiment at any one time may be either bullish or bearish. The net effect though, when considering all traders operating within the market, will be either a net bullish, bearish or neutral sentiment.

Bullish sentiment leads to bullish orderflow resulting in price rising.

Bearish sentiment leads to bearish orderflow resulting in price falling.

Neutral sentiment leads to narrow range sideways price action.

Supply and demand change as the sentiment of the crowd changes.

And the sentiment of the crowd changes with changes in the bullish or bearish sentiment of the market participants.

The sum of all the buy or sell decisions forms the collective sentiment of the crowd, which may be bullish or bearish. And this collective sentiment of all market participants, leads to a net bullish or bearish order flow, which moves price.

The most technically perfect breaking of a neckline of a head and shoulder pattern (which is supposedly bearish) will fail to reach its projected target, if the sentiment of the crowd at this point changes to bullish, and they all want to buy this stock.

It's not about the fundamentals or technicals.

It's about people... and the decisions they make about market direction.

The net sum of all individual trader decisions and actions, form the Net Order Flow.

Price moves as a collective result of all traders' bullish or bearish sentiment and their decisions to act in the market (buy or sell).

When we look at a chart, don't see it as price movement. See it as traders making decisions whether to buy or sell or stand aside.

You need to see when they're in pain. You need to see when they're feeling greed. Only then will you be operating in the real market, profiting from the traders who are operating under false assumptions and a lack of understanding of the game.

Profit requires movement of price **AFTER** your point of entry

Without that continuing orderflow supporting your decision, and coming after your decision, price cannot move in your favour and you will not profit.

To buy at areas where you KNOW others will buy after you, because their buying will create the net orderflow or bullish pressure to drive prices higher, allowing you opportunity to profit, or

To sell at areas where you KNOW others will sell after you, because their selling will create the net orderflow or bearish pressure to drive prices lower, allowing you opportunity to profit.

Price is not a true representation of fundamental value, but is a representation of the sentiment of the crowd, which is based upon flawed analysis of market information and irrational decisions.

Price movement is therefore based on psychology. It is emotional, rather than mathematical. It cannot be forecast or predicted with current mathematics or physics, and I expect it never will be.

While that generally is true, remember that an imbalance of supply and demand doesn't actually mean greater numbers on one side, but rather an imbalance in desperation, or urgency. We can, through our analysis, identify areas where **significant groups of traders will be under extreme stress, and therefore feel forced to act in a reasonably predictable manner.**

When are traders most under stress?

When a position has moved against them and they're in drawdown. At some point they're going to reach maximum stress at which time **they'll finally accept they're wrong** and exit their position.

When a position in profit starts to move against them. At some point they're going to reach maximum stress at which time they'll **accept their trade is no longer right**, and exit their position before the market can take the remainder of their profits.

We aim to enter before or at the point of maximum stress, where traders are coming to accept they're wrong. Their decision to exit is a means of relieving themselves of stress. This creates orderflow that takes our position to profit (provided of course you manage the trade well).

An effective trading strategy is one based upon the analysis of the forces of supply and demand within the market, and assessment of how that will influence other traders' decision making.

Knowing how and why price moves allows us to identify areas on charts where, if price should go there, significant numbers of traders will be trapped in stressful situations and be forced to act. The resultant orderflow will create price movement.

Effective analysis allows us to identify areas of potential higher probability setups, which provide lower risk if wrong and higher reward if right.

Effective analysis allows us to actively manage our trades – holding them when price action confirms the other traders response is in accordance with our expectations, or allowing us to exit prior to our stops when price action does not act as expected.

Effective analysis allows us to manage our price targets, through identifying areas on the chart where opposing orderflow will come into the market to limit any further profit opportunity.

There is no thought put into context. Where did this signal **occur within higher timeframe structure?** Is there any **area which is likely to create opposing orderflow**, limiting the extent of any move and therefore limiting the profit potential? **What profit potential is available, and does this offer an acceptable reward:risk ratio.**

Price slowing in one direction is not necessarily an indicator of a reversal.

All large market moves have an MA cross, but not all MA crosses lead to a large market move.

Likewise, all reversals come from a slowing of momentum, but all slowing of momentum does not lead to a reversal.

False breakouts are a common occurrence in the markets. Blindly taking pattern breakouts leaves you susceptible to these false breakouts.

Profits on a single trade come from identifying potential directional price movement before it occurs, and acting on that belief.

Human action in times of stress is somewhat predictable **(on a probabilities basis, not a certainty)**, in particular those times when our analysis is proven inaccurate and we're in a losing trade. At some point, we're going to have to exit to minimise the pain. Therefore, **by identifying times at which a large enough segment of the trader population will be experiencing stress, we can identify areas of potentially higher probability setups.**

Conflict in thought and emotion results in poor trade execution, poor trade management and suboptimal results. The answer is not in having a better and more objective model. **You need to get comfortable with subjectivity. You need to trust your intuition.**

It's better to embrace subjectivity and learn to operate within the uncertainty that is the market.

Success requires being in sync with the market flow. **If you're biased towards a particular direction, and it opposes the actual market flow, your results for that session will likely be a dismal failure.**

If you approach your market analysis with a preconceived and unchangeable bias, you'll find numerous trade opportunities and signals that support your bias, all of which look great at the time, but continually fail. **Upon reflection post-session you'll clearly see that you were fighting the market the whole way.**

If your results are not in accordance with expectations mid-session, it pays to exit the market and print a chart and determine whether your trades were taken in accordance with the flow, or whether you were actually fighting the dominant trend. You need to embrace subjectivity and *feel* the market. **Let the market action tell you where it's going. Don't try to tell it where to go.**

Support and resistance are created by the decision making of market participants, as they operate within an environment of uncertainty. Decisions to buy or sell are made through referencing current price against previous areas which caused significant emotional response, in particular those areas which led to regret of missing out on opportunity, or those areas which trapped traders in losing positions.

Assume a chart displays a solid area of resistance. If price ever moves back to that area, traders will be expecting resistance to again hold. Buying will dry up and selling will increase. Bearish pressure will overcome bullish pressure leading to price falling. The expectation of resistance leads to orderflow which restricts further upward movement, thus creating resistance.

The same applies to clearly recognisable areas of support. If price moves back to that support area, traders will again expect support to hold. Selling will dry up. Buying will increase. Bullish pressure will overcome bearish pressure leading to a price rally. The expectation of support leads to orderflow which restricts further downward movement, thus creating support.

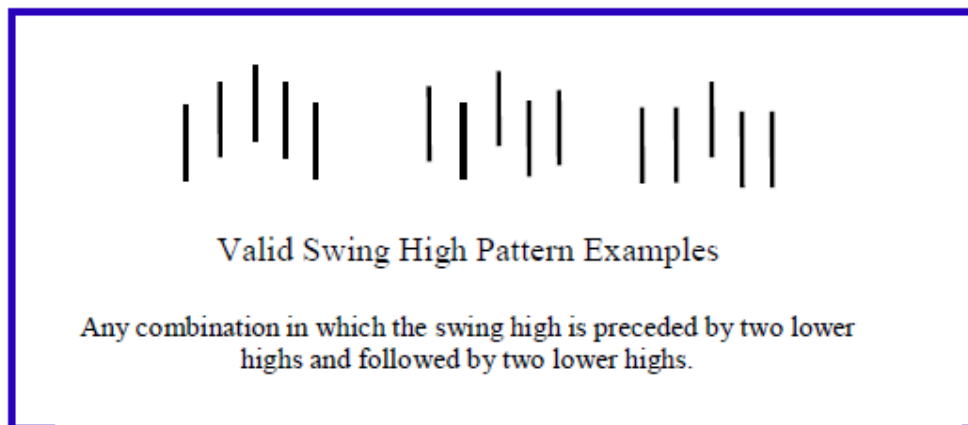
Swing Highs and Lows

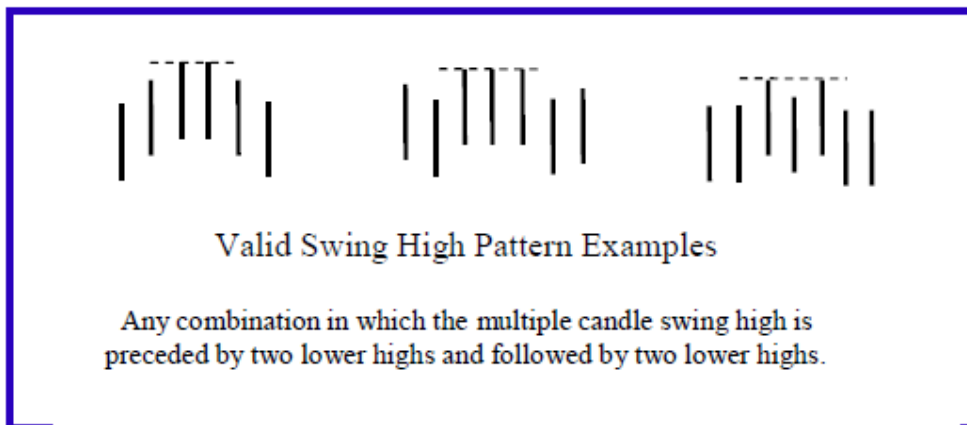
A swing high is simply any turning point where rising price changes to falling price. I define a **swing high (SH)** as a price bar high, preceded by two lower highs (LH) and followed by two lower highs (LH)



Candle A has a high which is LOWER THAN candle C's high.
 Candle B has a high which is LOWER THAN candle C's high.
 Candle D has a high which is LOWER THAN candle C's high.
 Candle E has a high which is LOWER THAN candle C's high.

Note that candle A's high does not have to be lower than B. All highs only reference the high of C.





In the event of multiple candles forming equal highs, this will still be defined as a swing high, provided that there are two candles with lower highs both preceding and following the multiple candle formation.

Likewise for the swing low.

A swing low is simply any turning point where falling price changes to rising price. I define a **swing low (SL)** as a price bar low, preceded by two higher lows (HL) and followed by two higher lows (HL)



The Swing Low in figure above is candle C. All other candles reference this one.

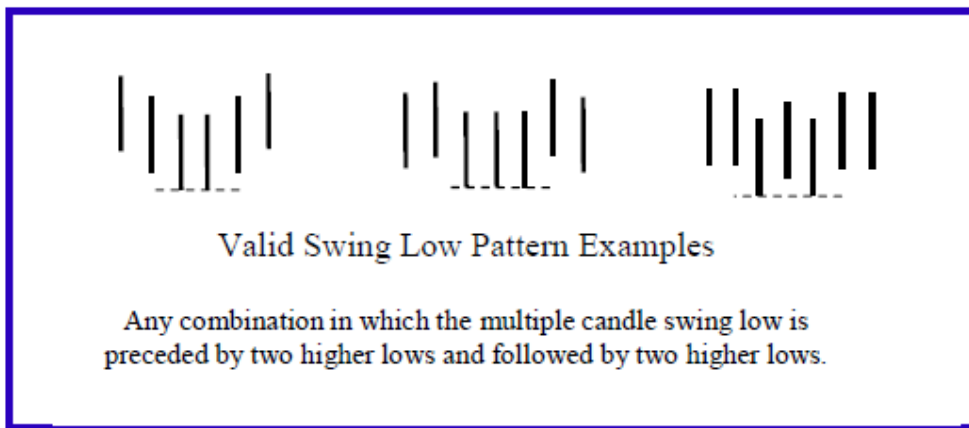
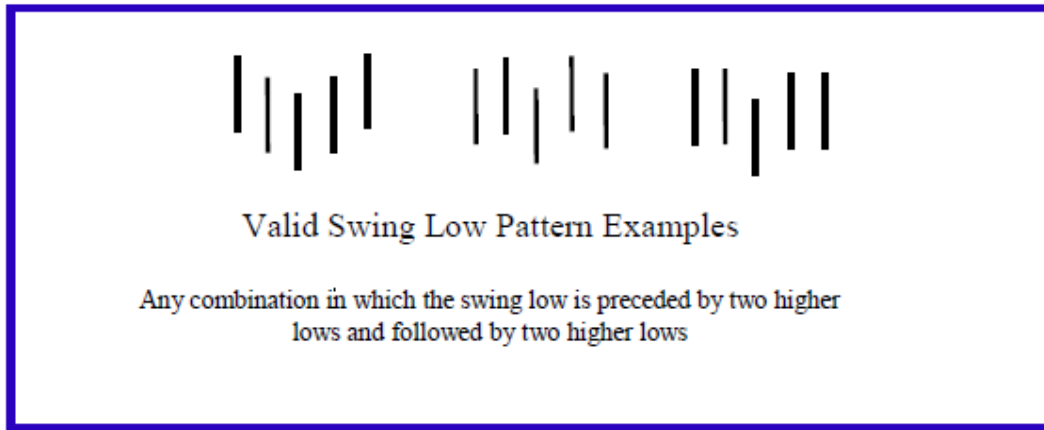
Candle A has a low which is HIGHER THAN candle C's low.

Candle B has a low which is HIGHER THAN candle C's low.

Candle D has a low which is HIGHER THAN candle C's low.

Candle E has a low which is HIGHER THAN candle C's low.

Again note that candle A's low does not have to be higher than B. All lows only reference the low of C.



In the event of multiple candles forming equal lows, this will still be defined as a swing low, provided that there are two candles with higher lows both preceding and following the multiple candle formation.

S/R areas on a chart will usually be done via a straight line.

You'll note however that when **price returns to this line it does not always stop at the exact price** defining this S/R line. **S/R is an AREA** in which traders make decisions. Different traders will make their decision at different prices, and will act on that decision at different times within that area.

As such, during the conduct of your analysis it is imperative that you remain aware of the whole area, even though your chart may show S/R represented by a single line. Be aware that price may turn before the line; and that **a break of that line does NOT necessarily constitute a break of the S/R level.**

An S/R area is not like a brick wall. It's a price region which has some emotional attachment to traders, as a result of a previous supply/demand imbalance, which is expected to possibly be an area of future trader decision making. **The boundaries of the area of emotional influence cannot be exactly defined.**

The key is not to get too concerned about exactness and don't be afraid of subjectivity. It's an area.

My preference though, and certainly what I recommend for all traders while learning to trade, is to operate with three timeframes.

These are the *Trading Timeframe* and then one timeframe higher (*Higher Timeframe*) and one lower (*Lower Timeframe*).



Primary: 30 min Alternate: 60 min	To provide structure to our market, by identifying a framework of support and resistance, which act as barriers to <i>trading timeframe</i> price movement.	Higher Timeframe
Primary: 3 min Alternate: 5 min	To analyse the market trend and determine the likely path of future price action, as it moves within the <i>higher timeframe</i> market structure framework.	Trading Timeframe
Primary: 1 min	To fine-tune the <i>trading timeframe</i> analysis; and to time trade entry and exit.	Lower Timeframe

The *higher timeframe* places a structure or framework over the market. Through identification of areas of support and resistance, **we identify areas in the market which will form barriers to the *trading timeframe* trend.** We've defined our battlefield.

The *trading timeframe* is the one we trade, hence the name. **Our aim is to trade the swings within this *trading timeframe*, regardless of whether the market is trending or ranging sideways.** We do this through understanding past price movement, assessing the strength or weakness within that price movement, and determining the likely path for future price action.

The *lower timeframe* provides us with finer detail in order to fine-tune our *trading timeframe* analysis, allowing us to *zoom in* to see the internal forces of supply and demand; plus in allowing us to time our entry and exit

A trend within our *trading timeframe* may simply be a price swing within a *higher timeframe* sideways market. Multiple timeframe analysis allows us to be alert for a potential trend reversal at the area of *higher timeframe* barriers.

A breakout through resistance on our *trading timeframe* may simply push us deeper into a *higher timeframe* resistance area. So we'll be watching the shifting bullish and bearish sentiment for signs of breakout failure.

Multiple timeframe analysis is all about placing *trading timeframe* market action within the context of the bigger picture, *higher timeframe* action.

S/R identified on the *higher timeframe* chart is referred to as **Support** or **Resistance**.
S/R identified on the *trading timeframe* chart is simply referred to as **Swing High or Low**.

Note that the *higher timeframe* S/R will also be evident on the *trading timeframe* chart, while *trading timeframe* swing highs and lows will often be insignificant on a *higher timeframe* chart.

Our Market Structure operates in accordance with two principles:

Principle 1 – Price moves within a structural framework of support and resistance.

Principle 2 – A breakout of the structural framework support or resistance will lead to price movement in the next area of the framework.

Through identification of areas of support and resistance, we identify areas in the market which will form barriers to the *trading timeframe* trend. Price then moves within the framework defined by these levels, back and forth between levels of support and resistance, based on the decision making of traders. **These S/R barriers are not impenetrable. They are *decision areas* for price, which will then either reverse or breach the barrier, depending on sentiment.**

More often than not, price action is choppy with much overlap between candles.

Strictly following our definitions for swing high/low would leave us with a market structure that is just unworkable.

In these cases, we're required to *mentally* zoom out and select only those most relevant levels. Our intent is simply to identify those key turning points which stand out on the chart as the most obvious levels, and therefore offer potential barriers to future price action.

"If it looks like a relevant S/R level, then it probably is".

The absolute best S/R, which should NOT be missed in your creation of market structure, are those levels which displayed the greatest supply/demand imbalance when price last left the area.

That is, those times when the difference in urgency between the bulls and bears is greatest, leading to RAPID price movement. This will be evident at swing highs and lows which show a rapid reversal of price; and at areas of congestion which lead to a sudden and strong breakout with good follow-through.

Rapid rejection provides a higher quality S/R level.

How far back in time should we go to find S/R?

As far back as necessary!

Realise though, the further back you have to go, the more time has elapsed since price was last there. As S/R is a result of trader decisions and actions, **more elapsed time usually means it will have less influence.**

Of course, significant levels on daily charts will be visible to these higher timeframe traders for many months and may still have some influence.

Higher timeframe structure is created by marking support and resistance levels on the higher timeframe chart. This support and resistance structure forms the framework within which our trading timeframe price action will move.

A breakout of the structural framework support or resistance will lead to price movement in the next area of the framework.

The principles governing price movement are the same on all timeframes. Price moves as a function of supply and demand. It moves between areas of previous supply/demand imbalance, which are defined as support or resistance.

On our *higher timeframe* (30 min) we defined a structure based upon *higher timeframe* support and resistance.

Within that structure, price still moves between areas of shorter timeframe support and resistance. On the *trading timeframe* (3 min) I simply refer to them as swing highs (SH) and swing lows (SL).

It's important to remember that these swing highs and lows form *trading timeframe* S/R, and could potentially impact future price action. Swing H/L are areas of previous supply/demand imbalance which will be referenced by other traders when they make their trading decisions.

Price movement between these swing H/L will form into trends; either as an uptrend, downtrend or a sideways trend (trading range).

An uptrend comprises a repeating sequence of:

- 1) An upward extension
- 2) A swing high
- 3) A downward pullback
- 4) A swing low

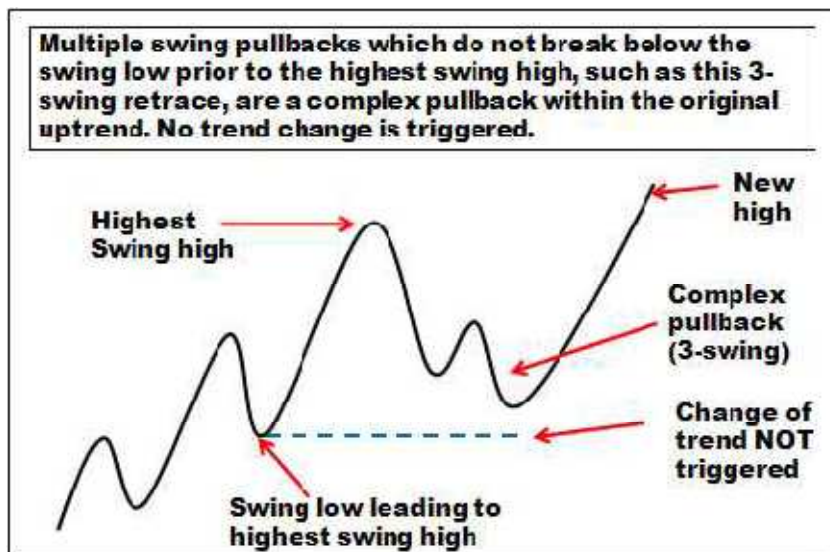
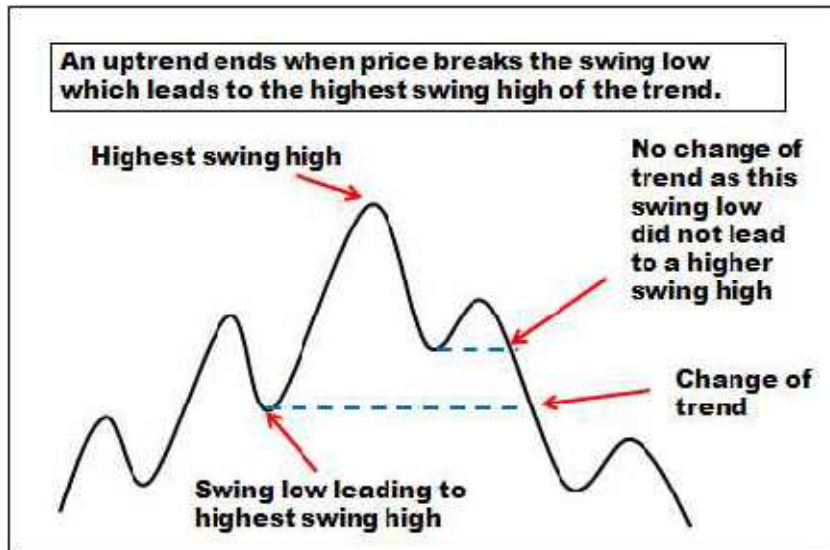
The price extensions are longer than the pullbacks.

Extensions will break above previous swing high, reaching new price highs for that trend.

Pullbacks will not break below previous swing lows.

This results in a series of higher swing highs and higher swing lows.

An uptrend ends when price breaks the swing low which leads to the highest swing high of the trend.



Failure to break the swing low that leads to the highest high, could simply indicate a complex pullback rather than a reversal

A downtrend comprises a repeating sequence of:

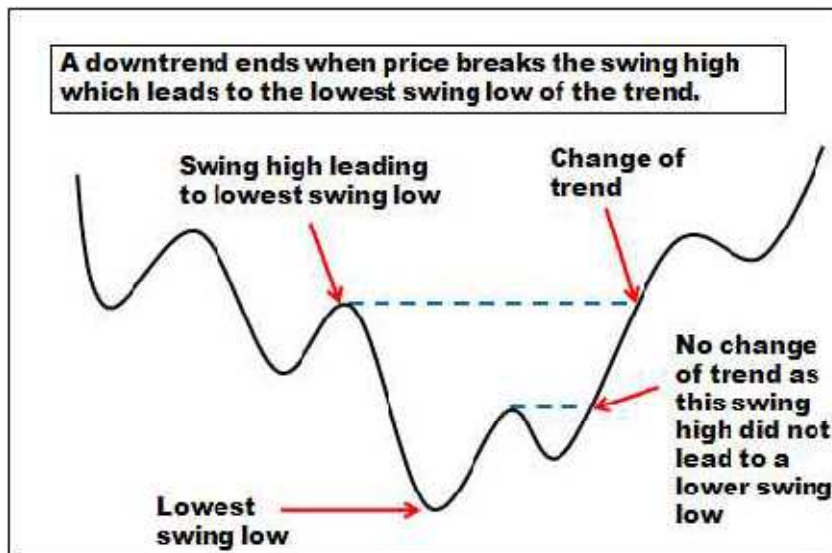
- 1) A downward extension
- 2) A swing low
- 3) An upward pullback
- 4) A swing high

The price extensions are longer than the pullbacks.

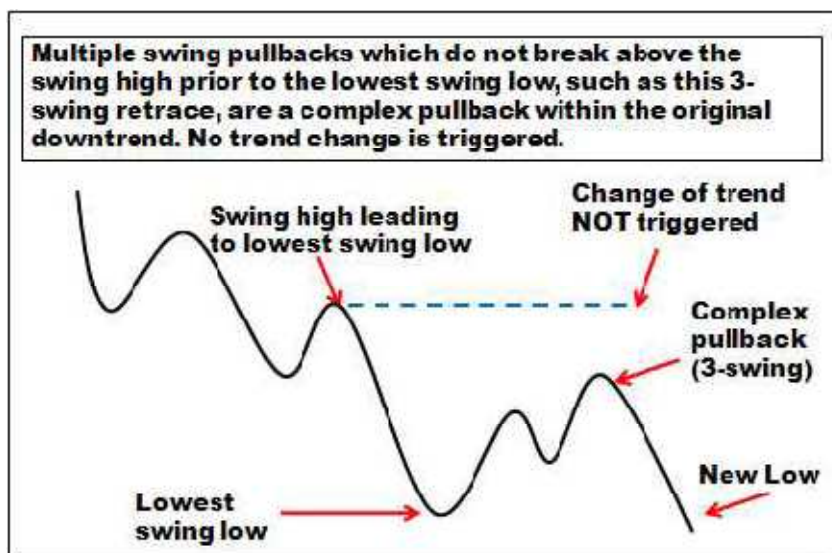
Extensions will break below previous swing lows, reaching new price lows for that trend.

Pullbacks will not break above previous swing highs.

This results in a series of lower swing lows and lower swing highs.



A downtrend ends when price breaks the swing high which leads to the lowest swing low of the trend.



Failure to break the swing high that leads to the lowest swing low, could simply indicate a complex pullback rather than a reversal

Sideways Trend - Definition

A sideways trend comprises a series of price swings existing within the range of a significant upper resistance area and a significant lower support area. The range support and resistance boundaries (range lower and upper boundaries) may be formed from either *higher timeframe S/R* and/or significant *trading timeframe* swing highs or lows.

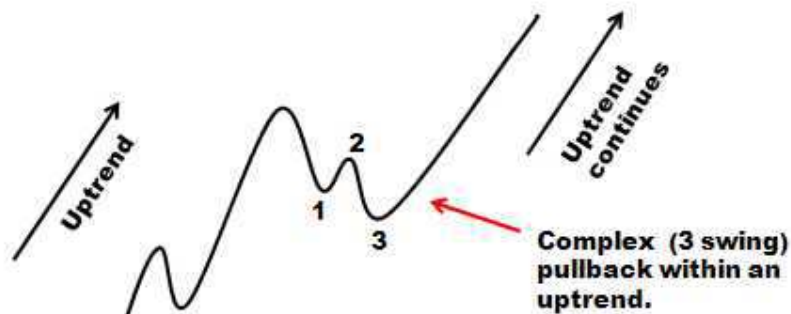
A sideways trend starts when four trend turning points (SH and SL) develop within the range of a previous price swing.

A sideways trend starts when four trend turning points (SH and SL) develop within the range of a previous price swing.



Less than four turning points may simply be a complex (three swing) pullback rather than a change of trend.

Four turn points are required to indicate a change to a sideways trend.



A sideways trend ends when price breaks the high or low defining the sideways trend.



The concept in determining *future trend* is as follows:

- 1) Price action leaves clues as to the strength or weakness of the two opposing forces (bullish and bearish pressure); allowing us to see which side is winning control of the price flow.
- 2) Future price action is likely to be in the direction of whichever force is showing greater strength, or opposite to whichever force is showing weakness.

The market moves in the direction of strength, and against the direction of weakness.

Often clear signals are not available. Many times the bullish and bearish price swings will show similar strength.

We identify strength and weakness within a trend through analysis of various properties of price movement, in particular through analysis of **momentum** and **projection & depth**. This analysis is primarily conducted on our *trading timeframe* (3 min), but fine-tuned as necessary through the *lower timeframe* (1 min).

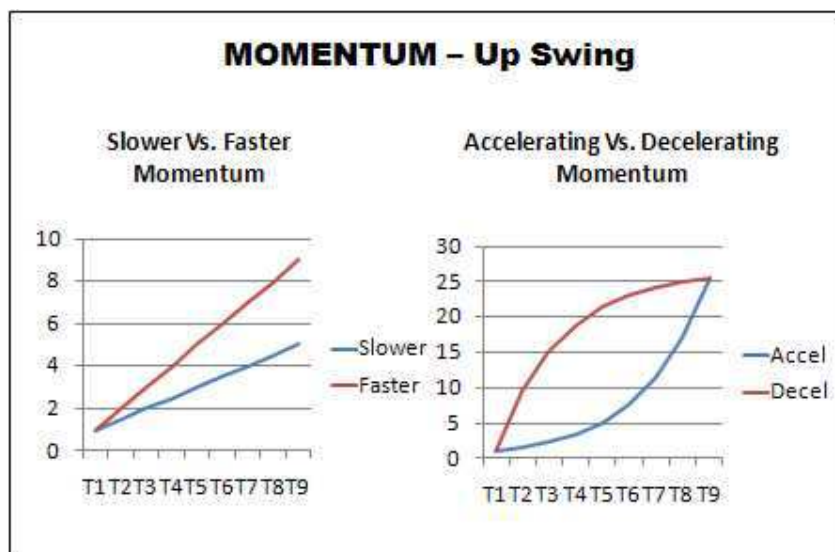
What is Momentum, as far as we're concerned ?

Observing price action in order to note changes to speed and acceleration; and assessing the meaning of this change with respect to potential future orderflow and potential *future trend* direction.

Momentum is not an indicator, but a property of the price movement.

We are simply observing price action in order to compare the current speed and acceleration of price movement with historical speed and acceleration.

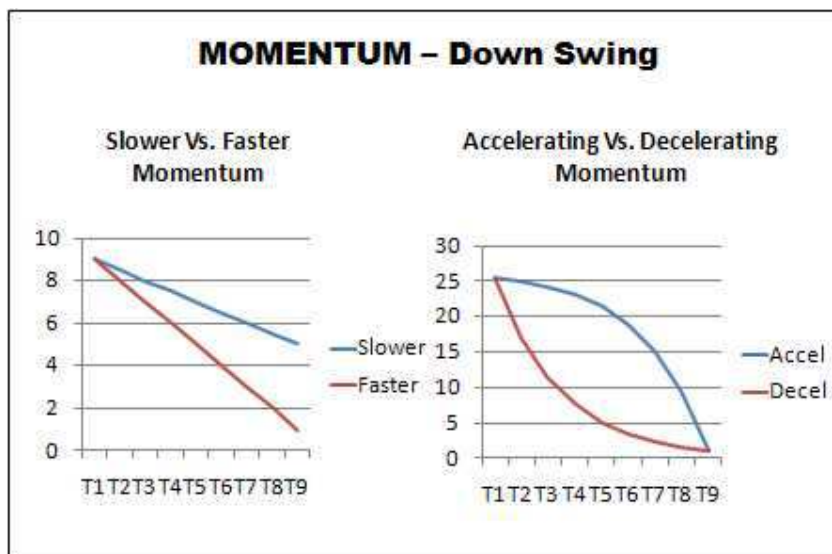
Momentum is visible on a chart through observing the slope (angle) of price movement.



The slope of a straight line represents the speed of price – the rate of change of price per unit time. A more shallow line (in blue) represents less price increase for the same period of time as the steeper line (in red). The blue line therefore represents less speed than red. The blue line shows less bullish momentum than the red line. The blue line shows bullish weakness when compared with the red line. The red line shows bullish strength when compared with the blue line.

The slope of a curved line represents acceleration or deceleration – the rate of change of speed. Increasing slope (the blue line) shows increasing speed. Momentum within this price swing is increasing, showing increasing bullish strength.

Decreasing slope (the red line) shows decreasing speed. Momentum within this price swing is decreasing, showing weakness developing in the price swing.



Look first at the straight lines on the left hand side of the diagram.

A more shallow line (in blue) represents less price decrease for the same period of time as the steeper line (in red). The blue line therefore represents less speed than red. The blue line shows less bearish momentum than the red line. The blue line shows bearish weakness when compared with the red line. The red line shows bearish strength when compared with the blue line.

The right hand side of the diagram represents bearish acceleration and deceleration. Increasing slope (the blue line) shows increasing speed. Momentum within this price swing is increasing, showing increasing bearish strength. Decreasing slope (the red line) shows decreasing speed. Momentum within this price swing is decreasing, showing a weakness developing in the price swing.

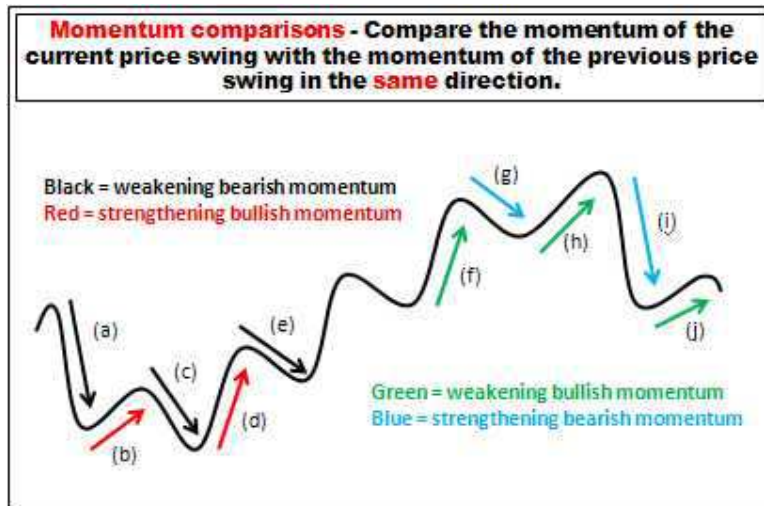
The same concept applies to price action on charts. Changes in momentum are observed through changes in the slope (angle) of the price action.

Analysis of momentum is not about measuring any absolute value of momentum, but in making a comparison of current price action momentum with prior price action momentum.

Compare the momentum of the current price swing with the momentum of the previous price swing in the same direction? Is price faster or slower than before? What does that mean?

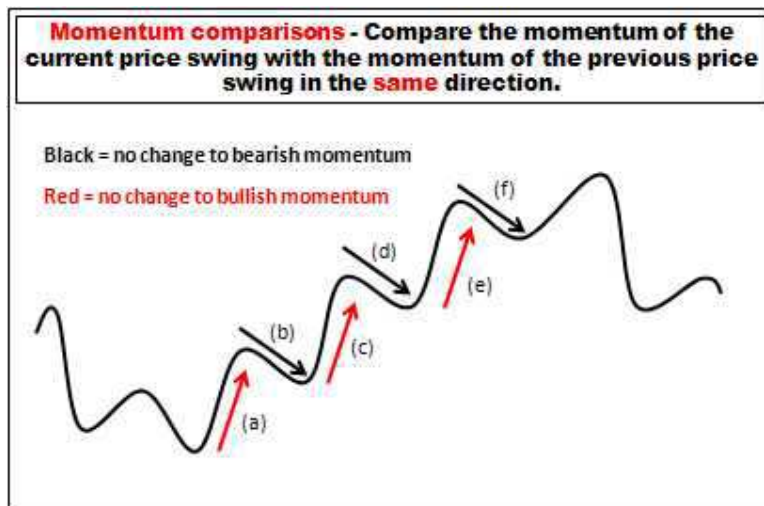
Compare the momentum of the current price swing with the momentum of the previous price swing in the opposite direction? Is price faster or slower than before? What does that mean?

Is the current price accelerating or decelerating? What does that mean?



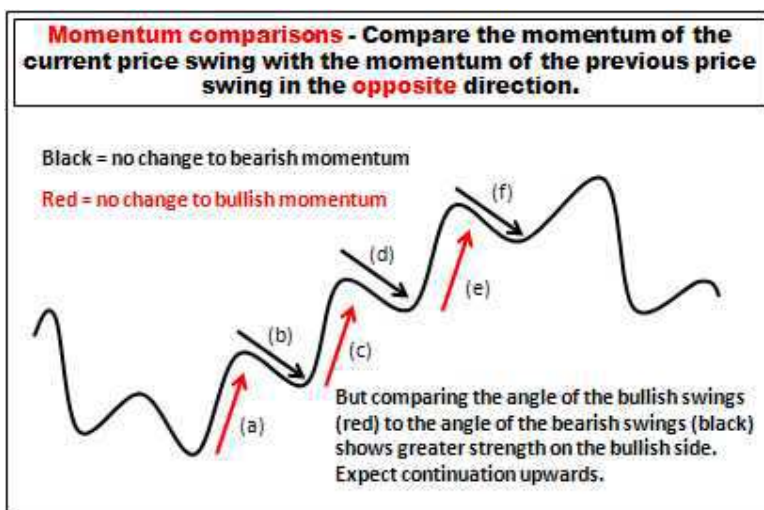
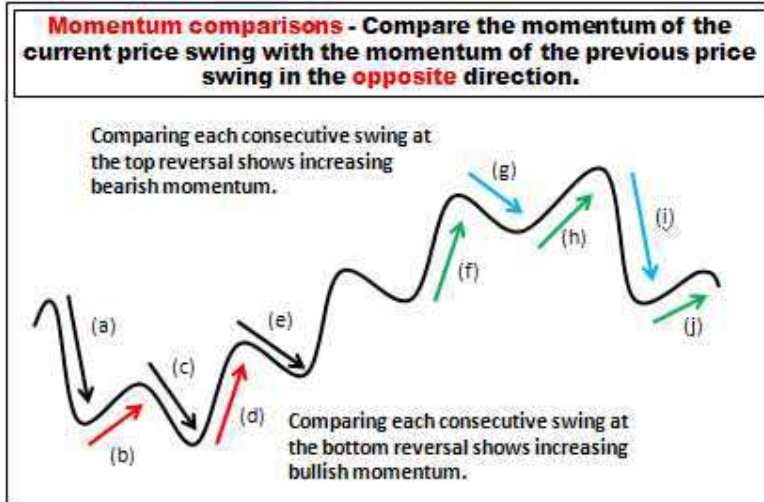
Of course, not every price swing provides clear signals such as described by the „perfect“ trend of these diagrams.

Often there is no significant difference between the speed of price swings, indicating no change to the current strength or weakness of the price movement.

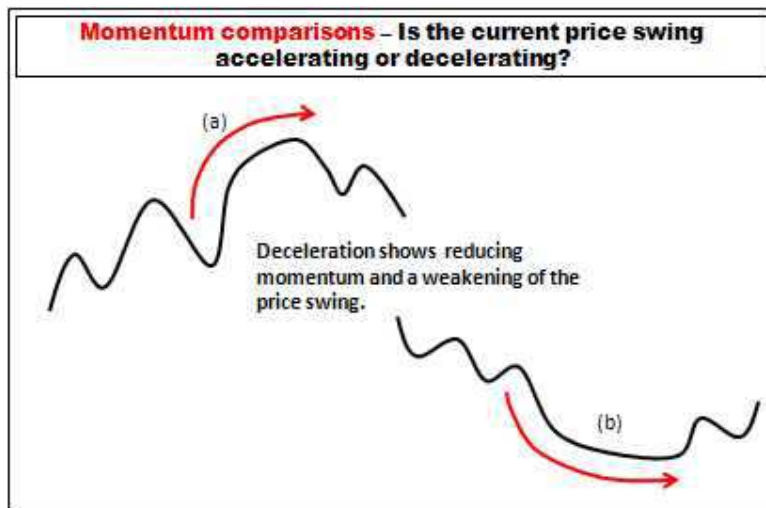


In the absence of any observable changes in momentum, we expect a trend to continue in its current state.

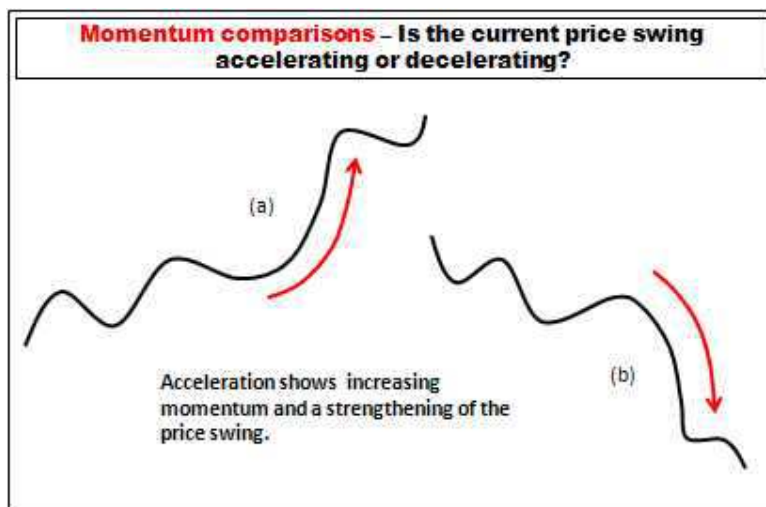
This will continue until the price action shows evidence of changing momentum; ie. strength or weakness.



Momentum is weakening. Note that this does not necessarily indicate a coming reversal. It's simply an indication that the current price swing is weakening and a downside correction is likely. Whether or not that develops into a full trend reversal will depend on subsequent price action.

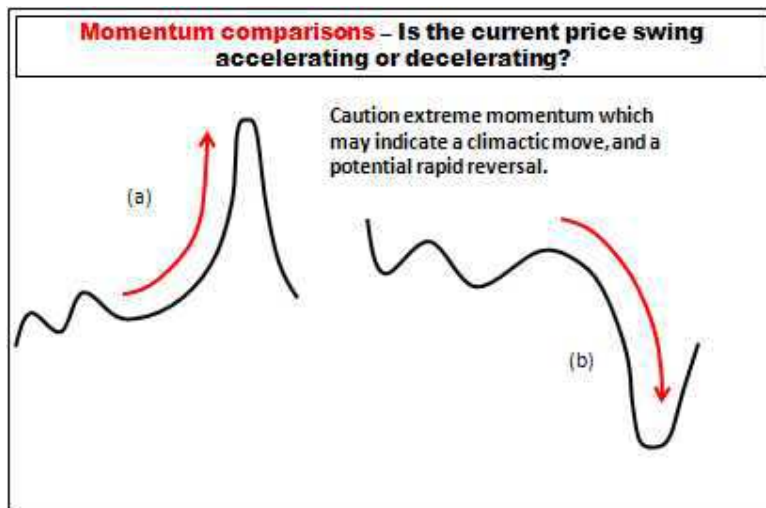


Acceleration on the other hand can be much more difficult to analyse.



However, extreme levels of acceleration can indicate weakness from the point of exhaustion of the acceleration, as shown below. These climactic moves often end violently, forming (at the very least) a strong area of support or resistance, and occasionally a rapid reversal.

These price swings are usually associated with greatly increased price bar range, extension well above or below any average lines, and extremely high volume when compared to prior action.



Climactic moves such as the bullish price swing (a) represent the last of the emotionally influenced public, desperate to buy into the market at whatever price they can, chasing price higher and higher.

When there are no buyers left and the price rally halts, selling into the market reverses price, trapping all the late longs. **The reversal can be quite rapid, as these longs are stopped out of their position (sell order) and more shorts are attracted to the market.**

Climactic move (b) represents the same process to the downside. Late shorts desperately chasing price lower and lower in panic, along with previous longs in an extreme drawdown exiting at the point where they just can't take the pain any longer.

Once the selling is exhausted, the professionals will be buying, driving prices higher and trapping the late shorts into a losing position. Any reversal may again be quite rapid, as the trapped shorts are stopped out of their positions (buy order) and more longs are attracted to the market.

The swing high then forms an area of resistance. If no-one is willing to pay higher prices, then price cannot rally. The path of least resistance is down. The market will display weakness beyond the point of exhaustion.

So, price acceleration does indicate strength. **But excessive acceleration is unsustainable, and likely to end in climactic exhaustion and potential reversal.** Placing the degree of acceleration into the context of background market action will usually identify which of these scenarios is playing out.

Rapid price movement from an area of S/R makes it a higher quality area if tested again. We expect it to hold.

Sometimes, these climactic moves will result in a very rapid reversal. Price falling will trigger trailing stops; leading to further price falls which trigger more stops; and on and on. Other times, a retest of the point of exhaustion will precede the reversal (creating a great trade opportunity in the process).

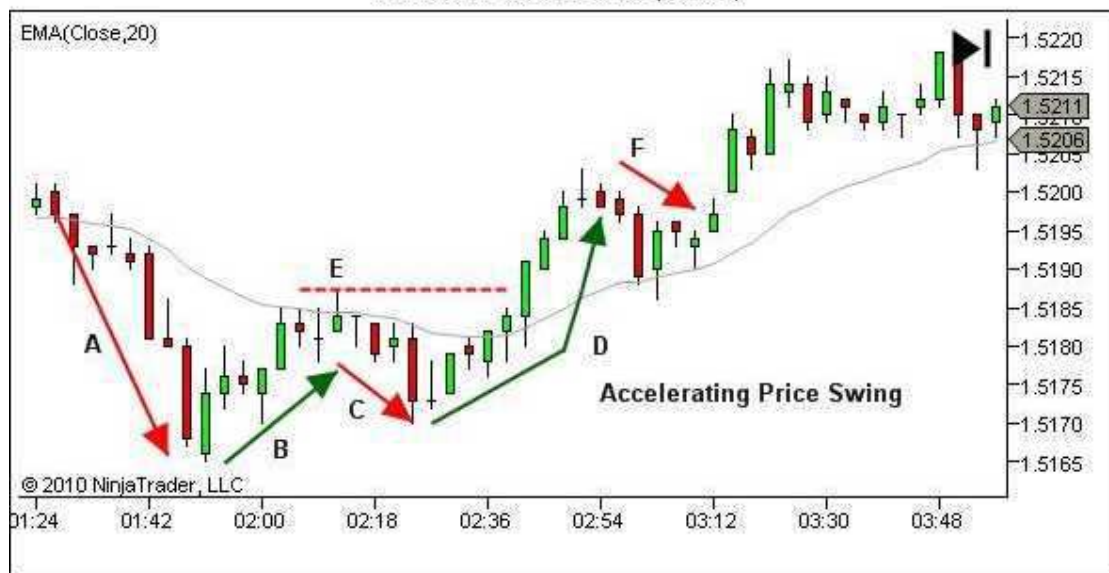
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6B 09-10 25/06/2010 (3 Min)



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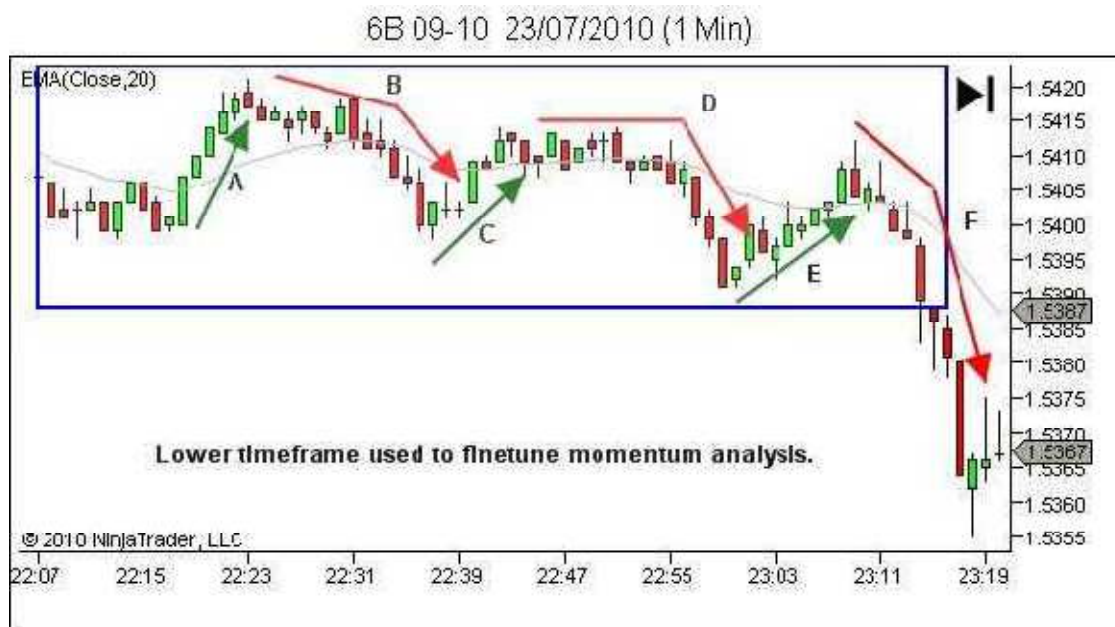


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The *lower timeframe* chart will be monitored throughout your analysis, but there are some key times when extra focus will be placed on this chart. Such as:

- 1) When clear signals are not available through the *trading timeframe* (3 min), such as within areas of sideways congestion.
- 2) When price is at a critical decision point – such as the break of a swing high/low.
- 3) When price is in a trade setup area.



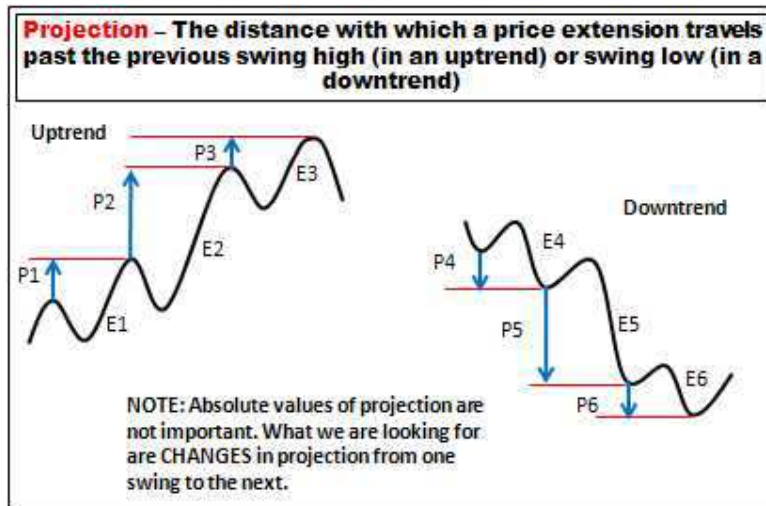
Momentum analysis allows us to sense changes in strength or weakness of the price swings within a trend; thus allowing us to assess the strength or weakness of the trend itself.

Price movement will most likely continue in the direction of strength and oppose the direction of any weakness.

Projection & Depth

Strengthening or weakening of a trend may also be observed through analysis of **Projection** and **Depth**.

Projection refers to the distance with which a price extension projects past the previous swing high (in an uptrend) or swing low (in a downtrend).



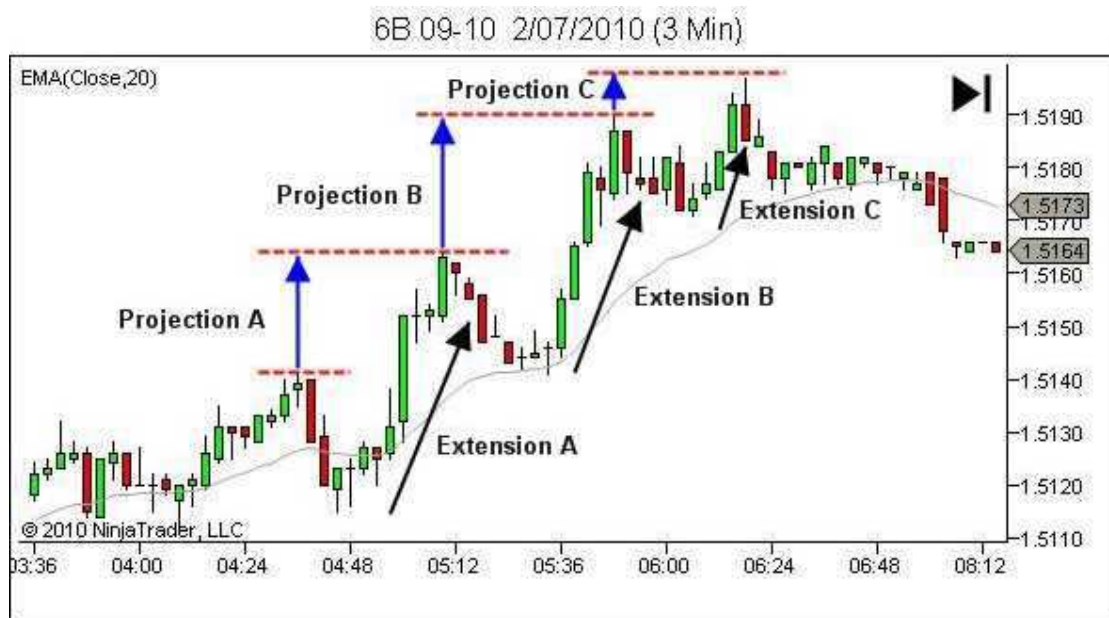
Referring to the uptrend within figure above, we see the price action shows three price extensions

E1, E2 and E3. The projection of each is displayed as P1, P2 and P3. P1 is the distance with which E1 projects (or travels) beyond the previous swing high. P2 is the distance with which E2 projects beyond the previous swing high. And P3 is the distance with which E3 projects beyond its previous swing high.

The important information is not so much the distance, but changes when comparing one projection with the next. Note the increased projection of E2 (P2) when compared with E1 (P1). Extension E2 projects much further than E1 did, indicating greater strength within the trend. P3 is then much shorter than P2, indicating weakness developing with the trend.

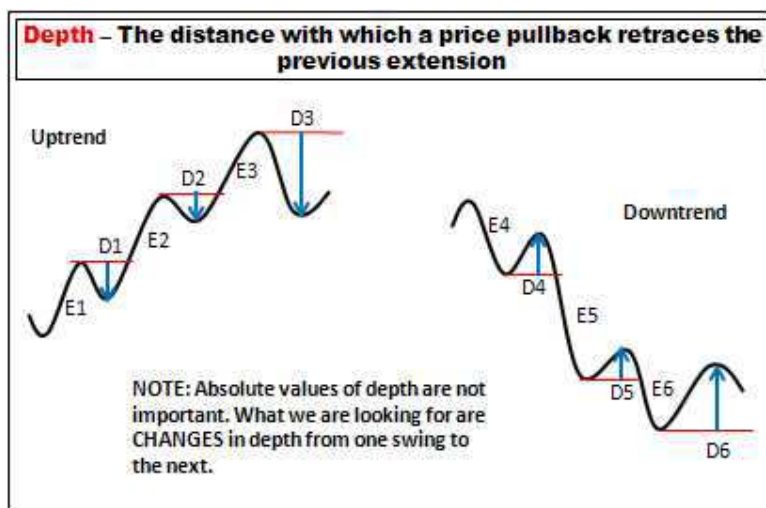
The downtrend shows similar information. Projection P4 is the distance with which Extension E4 travels past its previous swing low. And so on for P5 and P6. P5 shows greater distance than P4, indicating increased downtrend strength. P6 shows a decrease in projection compared to P5, indicating possible downtrend weakness.

Increased projection is a sign of potential trend strength. Decreased projection is a sign of potential trend weakness.



In conducting analysis you do NOT have to work out percentages. We are not concerned with absolute values of projection, but simply looking for changes which are visually obvious.

Depth refers to the distance with which a pullback retraces the previous extension.



Looking at the uptrend in figure above, we see three extensions E1, E2 and E3. Depth D1 is the distance with which the pullback retraces E1 (think in percentage terms, rather than price values).

D2 is the depth with which the pullback retraces E2. And D3 is the depth with which the pullback retraces extension E3.

As with projection, we are not greatly interested in the absolute values of depth; rather we note significant changes of depth from one price swing to another.

Note that D2 is a much smaller percentage of its extension E2 (approx 20%), when compared to D1 (approx 40%). D2 has smaller depth than D1, indicating a potential weakening of the bears, and therefore strength within the price trend.

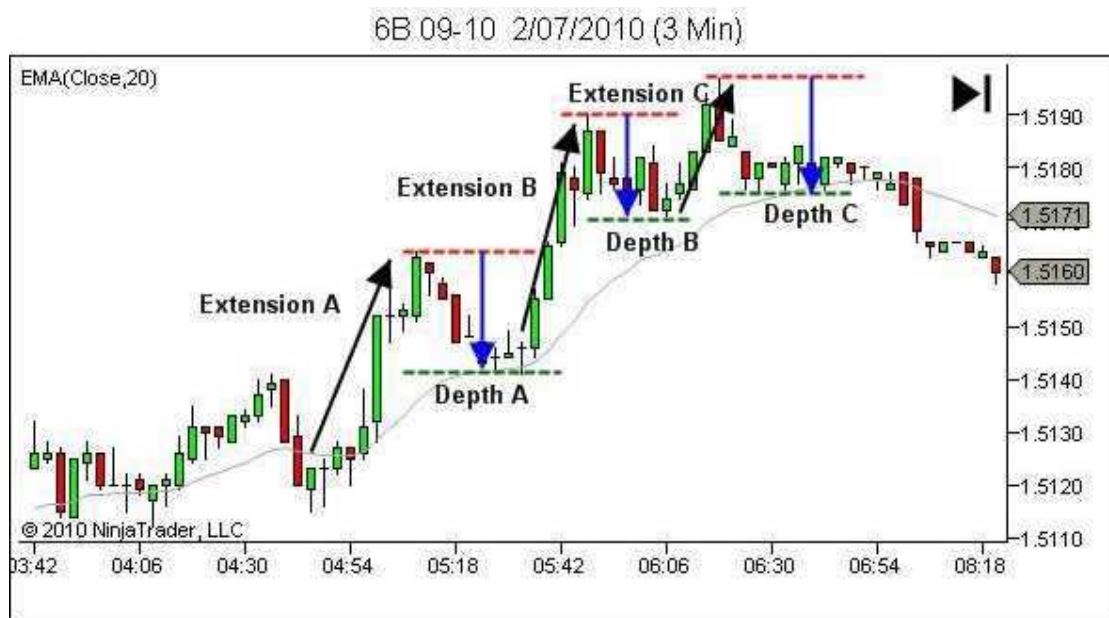
Note that D3 is significantly larger than D2, indicating potential strength within the bears, and therefore potential weakness within the price trend.

The same concept applies to the downtrend. D5 is showing greatly reduced depth when compared with D4 (remember we compare D5 as a percentage of E5 (approx 20%) with D4 as a percentage of E4 (approx 60%)).

Reduced pullback depth in a downtrend is a sign of potential weakness in the bulls, and therefore potential strength in the downtrend.

D6 is showing a much greater percentage depth than D5, indicating potential strength in the bulls and therefore potential weakness in the trend.

Increased depth is a sign of potential trend weakness. Decreased depth is a sign of potential trend strength.



It's wrong to make assumptions such as a 38% pullback is shallow, a 50% pullback is normal and a 62% pullback is extreme. The depth of pullback that should be considered normal is dependent on the current market environment.

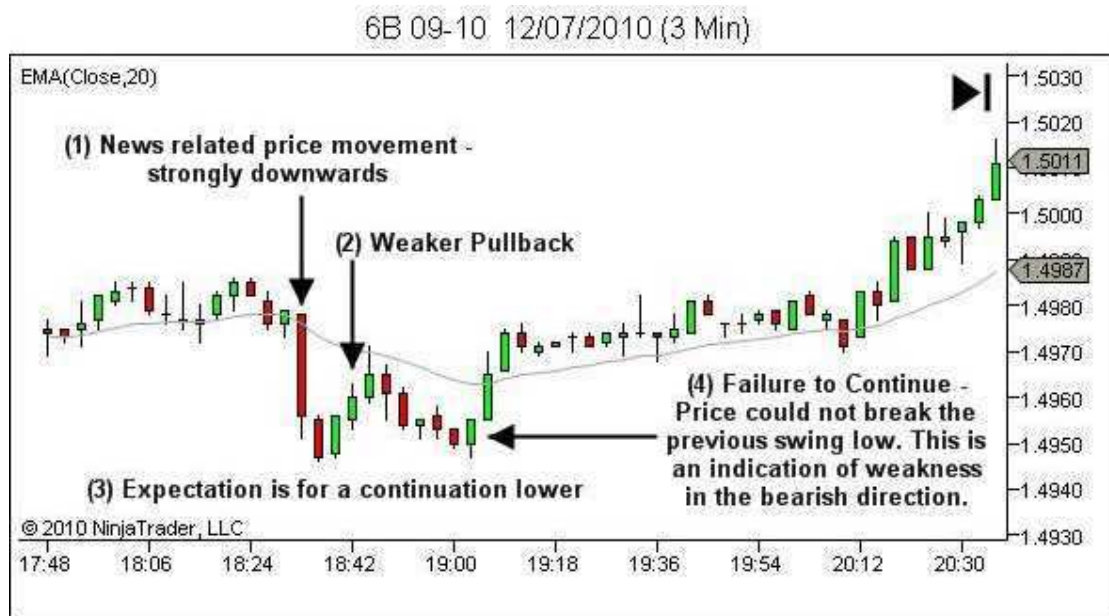
In a volatile trend environment, deep pullbacks may be the norm.

What we're seeking through our analysis is evidence that something has changed – a shallower or deeper pullback or extension. If sentiment had remained as before, then the pullback or extension would have been in line with previous pullbacks and extensions. The fact that something has changed in the market indicates a change in sentiment. Analyse the

change – what does it mean from the perspective of supply and demand? What does it mean from the perspective of other traders and their decisions, thoughts and emotions?

While these changes are often evident through your momentum analysis, it's not always the case. And in many cases analysis of projection and depth is the easiest way to spot shifting sentiment within the price action.

Failure to Continue



Following a strong fundamentally-influenced impulse downwards, and a weaker pullback, the obvious expectation is for a continuation of the move down breaking to new lows. Failure to meet that expectation demonstrates weakness in the bearish direction. This weakness may be easily observed through analysis of price swing momentum, or analysis of projection and depth. Often however, the easiest way to observe this weakness is through a simple failure to meet expectations, or *failure to continue*.

Failure to Continue doesn't only involve failure to break a high or low, as in the above example. It might also display as a break of that level which quickly fails. Any time obvious expectations fail to continue, the market has given you a strong clue as to future trend direction.

Principles of Future Trend Direction

Signs of strength and weakness within the trend alert us to those times when the trend is not our friend, and higher probabilities are available through counter-trend corrections or reversals. We assess the likely *future trend* direction in accordance with the following principles:

Within the S/R framework:

First Principle – We expect an up or down trend to continue in its current state until the next S/R barrier, unless displaying evidence of weakness within the trend.

Second Principle - When an up or down trend shows evidence of weakness, we expect a higher likelihood of a complex correction* rather than a reversal, until such time as the market shows both price acceptance and strength in the new trend direction.

(* a complex correction being one of extended duration, or multiple swings)

Third Principle – A sideways trend within the framework is expected to continue in its current state, unless displaying evidence of strength towards the range boundary.

Fourth Principle - When a sideways trend shows evidence of strength towards the range boundary, we expect a break of the boundary. We observe the behaviour of price postbreakout for clues as to future direction:

Weakness following the breakout – the expectation is for a breakout failure and reversal back within the trading range

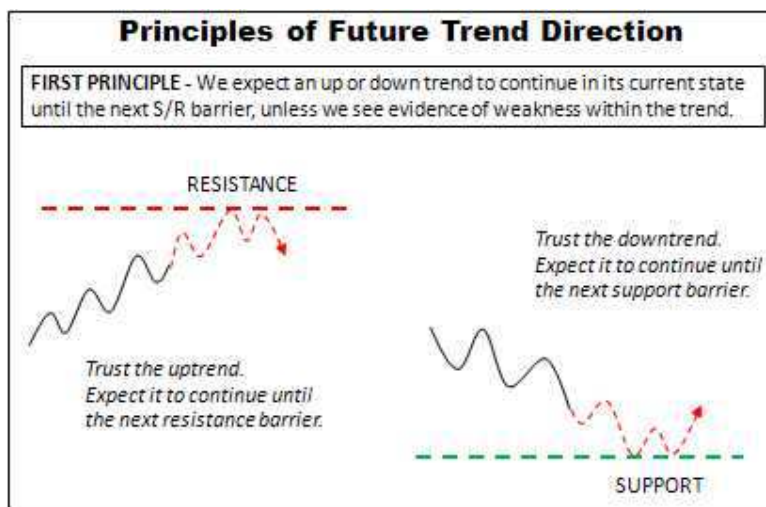
Weakness on the pullback – the expectation is for a breakout pullback and continuation.

At the edges of the S/R framework:

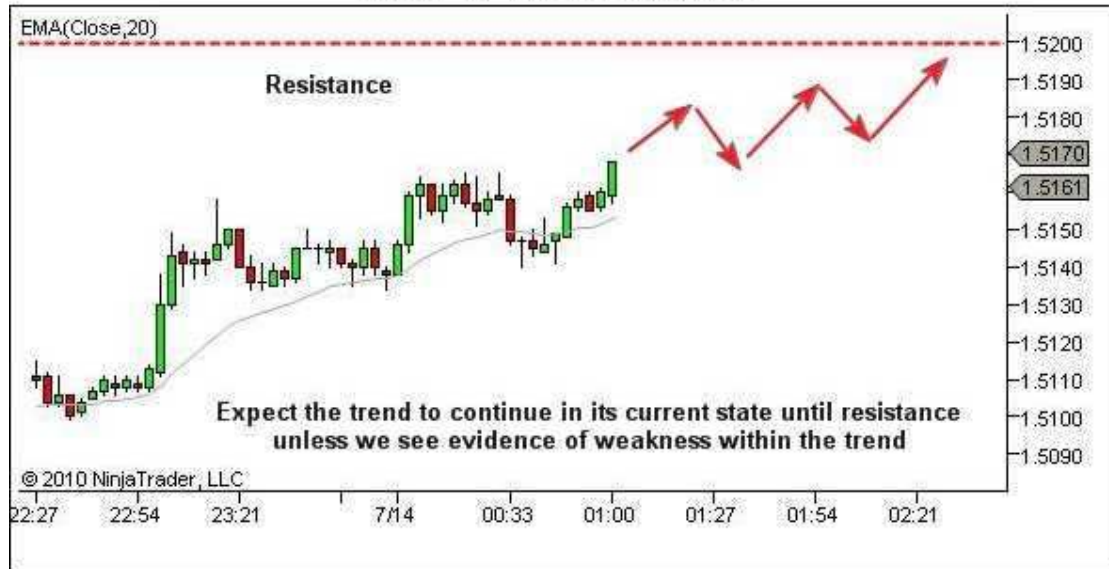
Fifth Principle – We expect a test of our framework S/R to hold, unless strength is displayed on approach to the S/R boundary.

Sixth Principle - If strength is shown on an approach to an S/R barrier, we expect a breakout and watch the behaviour of price post-breakout for clues as to future direction:

- Weakness following the breakout – the expectation is for a breakout failure and reversal back through the area of S/R.
- Weakness on the pullback – the expectation is for a breakout pullback and continuation.

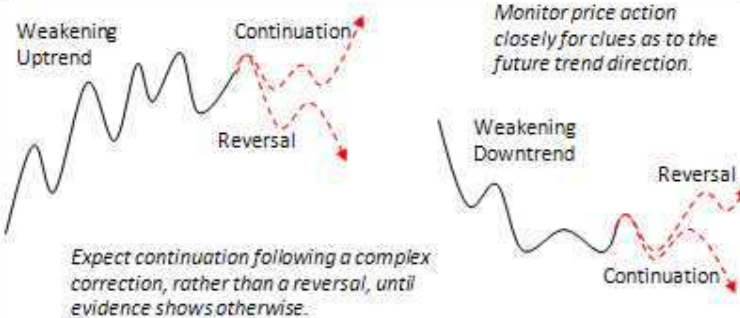


6B 09-10 14/07/2010 (3 Min)



Principles of Future Trend Direction

SECOND PRINCIPLE - When an up or down trend shows evidence of weakness, we expect a higher likelihood of a complex correction rather than a reversal, until such time as the market shows both price acceptance and strength in the new trend direction.



6B 09-10 17/07/2010 (3 Min)



Principles of Future Trend Direction

THIRD PRINCIPLE - A sideways trend within the framework is expected to continue in its current state, unless displaying evidence of strength towards the range boundary.



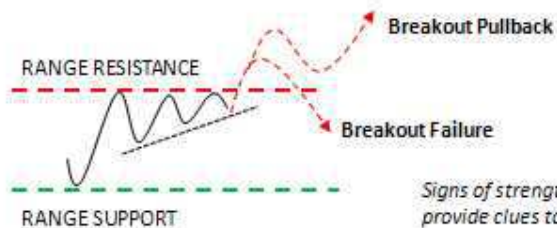
6B 09-10 5/07/2010 (3 Min)



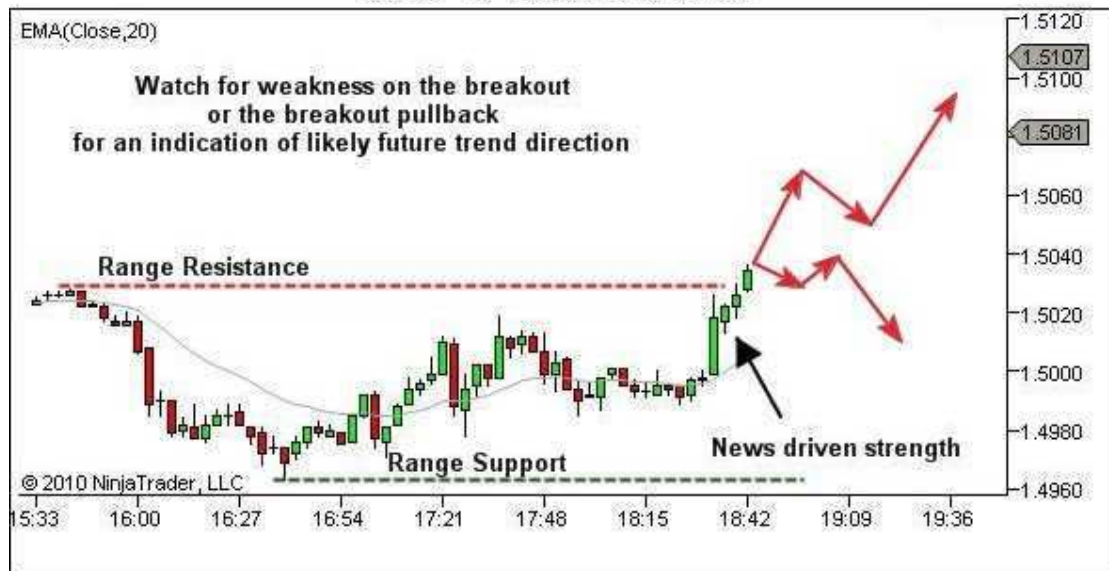
Principles of Future Trend Direction

FOURTH PRINCIPLE - When a sideways trend shows evidence of strength towards the range boundary, we expect a break of the boundary. We observe the behaviour of price post-breakout for clues as to future direction:

- Weakness following the breakout – the expectation is for a breakout failure and reversal back within the trading range
- Weakness on the pullback – the expectation is for a breakout pullback and continuation.

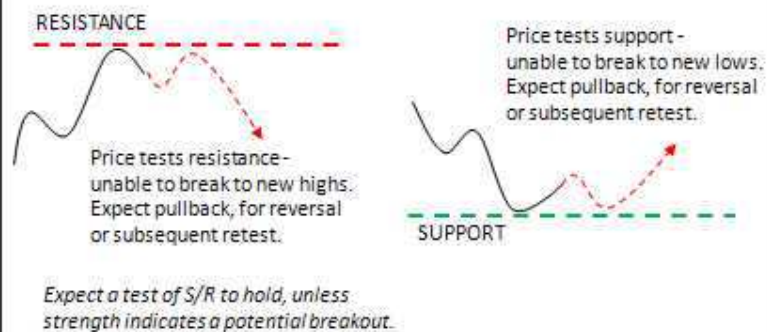


6B 09-10 13/07/2010 (3 Min)



Principles of Future Trend Direction

FIFTH PRINCIPLE - We expect a test of our framework S/R to hold, unless strength is displayed on approach to the S/R boundary.



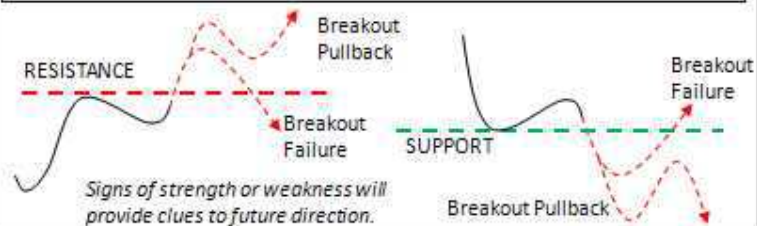
6B 09-10 17/06/2010 (3 Min)



Principles of Future Trend Direction

SIXTH PRINCIPLE - If strength is shown on an approach to an S/R barrier, we expect a breakout and watch the behaviour of price post-breakout for clues as to future direction.

- Weakness following the breakout – the expectation is for a breakout failure and reversal back through the area of S/R.
- Weakness on the pullback – the expectation is for a breakout pullback and continuation.





Visualising the Future

Will the new data confirm our bias remains intact, or will it provide some new information which alerts us to potential changes within the supply/demand relationship?

In order to make this assessment easier, we should have some expectation of future orderflow.

How do you expect future price action to behave?

This is simply a process of considering the following:

What price action would validate your assessment of *future trend*?

What price action would invalidate your assessment of *future trend*?





What price action would validate my assessment of *future trend* direction?

The upper tail is showing some evidence of supply. I expect a pullback to commence within the next candle or two. However that pullback must be showing weakness, through either a shallow slope (weak bearish momentum) and/or reduced depth.

What price action would invalidate my assessment of *future trend* direction?

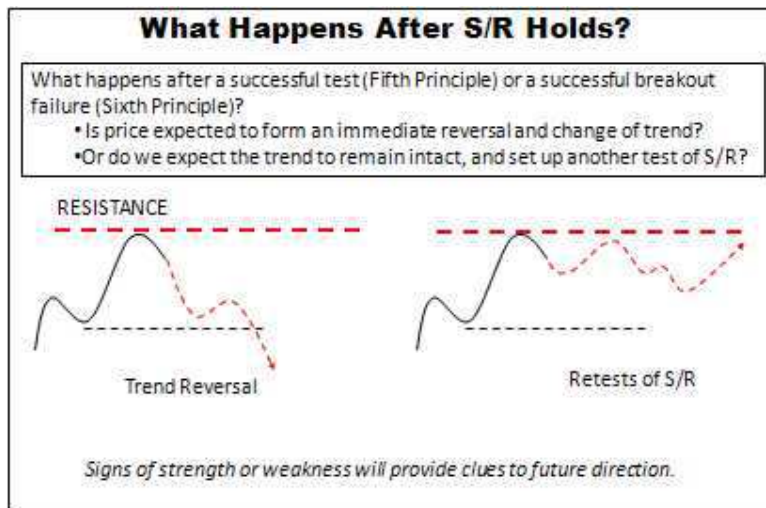
Strength on a pullback would indicate supply coming into the market at these higher prices. If that occurs, it's likely the strength shown on the second breakout was simply stops getting triggered, and the market has not attracted sufficient new longs to support continuation. A strong pullback would have me reconsidering my expectations, with a breakout failure confirmed by a break below the large green breakout candle.

What Happens After S/R Holds?

What happens after a successful test (Fifth Principle) or a successful breakout failure (Sixth Principle)?

Is price expected to form an immediate reversal and change of trend?

Or do we expect the trend to remain intact, and set up another test of S/R?



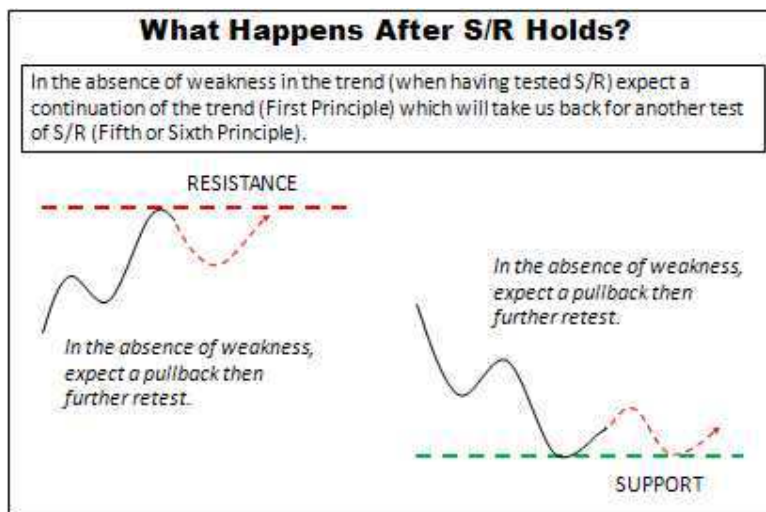
I consider S/R as barriers to the trend. They provide some counter-trend orderflow, but are NOT automatically assumed to reverse the trend, until we see evidence of likely (or confirmed) reversal.

Evidence of a reversal obviously requires price acceptance past the point of trend change; a sign of strength in the new trend direction.

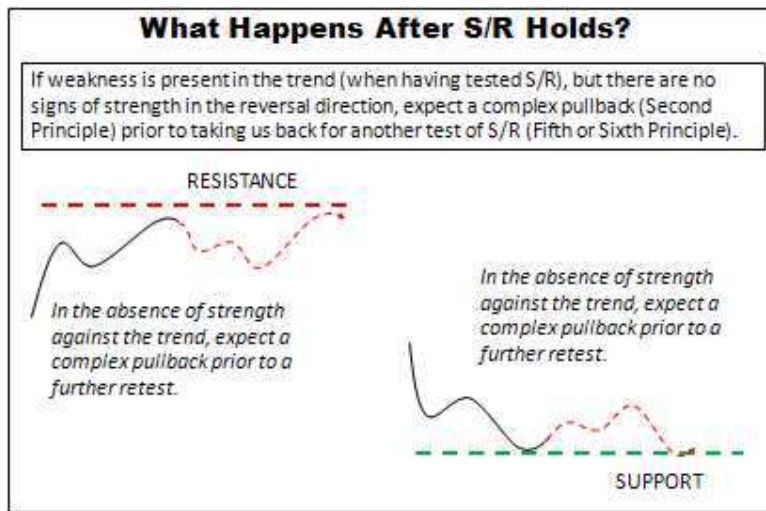
Evidence of a likely reversal occurs when we see price swings showing clear strength in the reversal direction, and weakness in the original trend direction, even though price has not yet past the point of trend change.

Until we see these signs, we assume the trend will prevail and return for either another test, or attempt at a breakout.

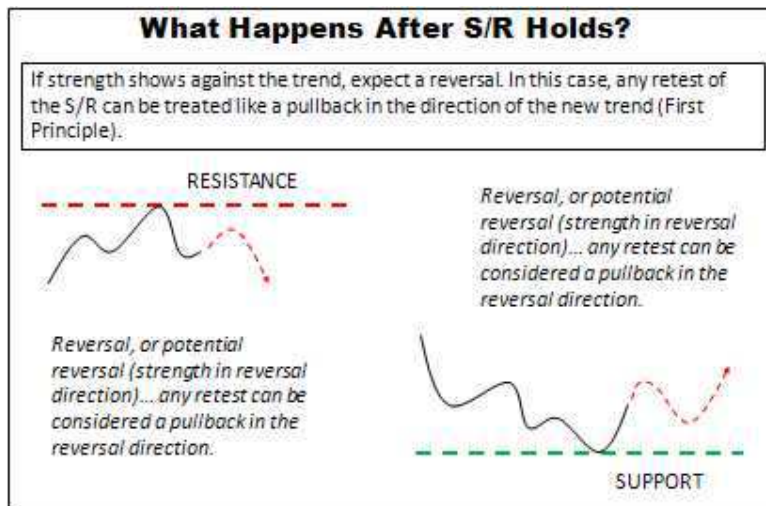
In the absence of weakness in the trend (when having tested S/R) expect a continuation of the trend (First Principle) which will take us back for another test of S/R (Fifth or Sixth Principle).



If weakness is present in the trend (when having tested S/R), but there are no signs of strength in the reversal direction, expect a complex pullback (**Second Principle**) prior to taking us back for another test of S/R (**Fifth or Sixth Principle**).



If strength shows against the trend, expect a reversal. In this case, any retest of the S/R can be treated like a pullback in the direction of the new trend (**First Principle**).

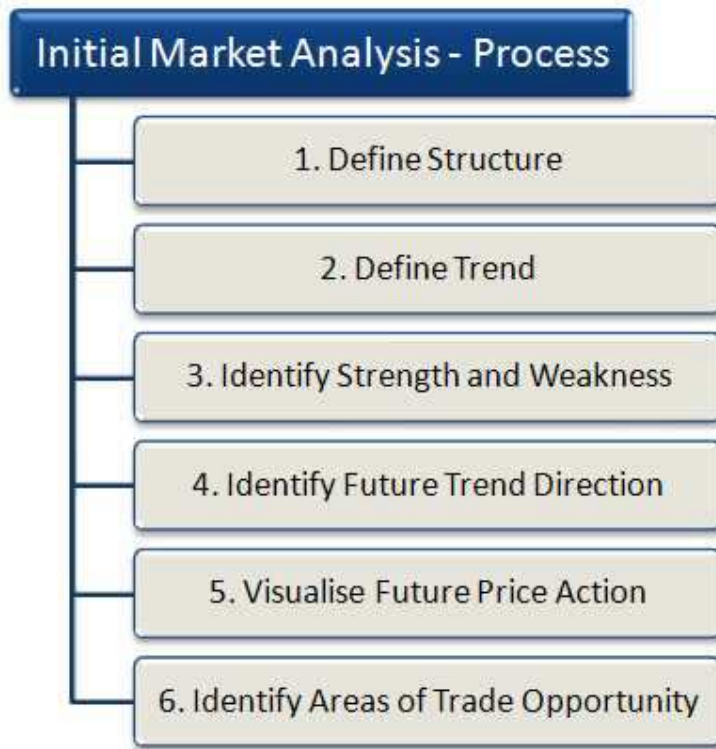


This post-S/R area can be a little confusing at times. Sometimes it takes a whole price swing or two to work it out. Remember though... you'll be updating your assessment bar by bar.

Just make your best assessment, knowing that if you get it wrong you'll soon know and be able to adjust your bias. **And if in total doubt, always trust the trend until it is broken.**

Initial Market Analysis Process

Initial Market Analysis Process Summary



The following checklist will walk you through the actions required for each step.

3.4.2 Initial Market Analysis Checklist

Step 1 - Define Structure

Define a structural framework within which our *trading timeframe* price action will move.

Actions:

Identify areas of Support or Resistance on the *higher timeframe* (30 min) chart

- o Swing highs and lows

Step 2 - Define Trend

Assess the movement of past price action within our market structure framework.

Actions:

Identify significant swing highs and lows on the *trading timeframe* (3 min) chart.

Identify the trend direction

- o Up, down or sideways.

Step 3 - Identify Strength & Weakness

Analyse price movement within the trend to identify signs of strength or weakness.

Actions:

Analyse momentum of recent price swings

- o Compare the momentum of the current price swing with the momentum of the previous price swing in the same direction? Is price faster or slower than before? What does that mean?

- o Compare the momentum of the current price swing with the momentum of the previous price swing in the opposite direction? Is price faster or slower than before? What does that mean?

- o Is the current price accelerating or decelerating? What does that mean?
Compare projection and depth of recent price swings

- o Increased projection is a sign of potential trend strength. Decreased projection is a sign of potential trend weakness.

- o Increased depth is a sign of potential trend weakness. Decreased depth is a sign of potential trend strength.

Identify signs of *failure to continue* (ie. failure to meet expectations).

- o Failure to continue is a sign of weakness

Identify signs of strength or weakness via any miscellaneous methods

- o Volume analysis

- o Market Internal indicators

Step 4 - Identify Future Trend Direction

What is the likely path of future price action?

Actions:

Determine the likely path of future price action, in accordance with the following six principles:

o Within the S/R framework:

- **First Principle** – We expect an up or down trend to continue in its current state until the next S/R barrier, unless displaying evidence of weakness within the trend.

- **Second Principle** - When an up or down trend shows evidence of weakness, we expect a higher likelihood of a complex correction rather than a reversal, until such time as the market shows both price acceptance and strength in the new trend direction.

- **Third Principle** – A sideways trend within the framework is expected to continue in its current state, unless displaying evidence of strength

towards the range boundary.

- **Fourth Principle** - When a sideways trend shows evidence of strength towards the range boundary, we expect a break of the boundary. We observe the behaviour of price post-breakout for clues as to future direction:

Weakness following the breakout – the expectation is for a breakout failure and reversal back within the trading range

Weakness on the pullback – the expectation is for a breakout pullback and continuation.

o At the edges of the S/R framework:

- **Fifth Principle** – We expect a test of our framework S/R to hold, unless strength is displayed on approach to the S/R boundary.

- **Sixth Principle** - If strength is shown on an approach to an S/R barrier, we expect a breakout and watch the behaviour of price post-breakout for clues as to future direction:

Weakness following the breakout – the expectation is for a breakout failure and reversal back through the area of S/R.

Weakness on the pullback – the expectation is for a breakout pullback and continuation.

Step 5 - Visualise Future Price Action

How do you expect price to behave? Visualise the future price action, based upon your expectations for *future trend* direction and its interaction with the market structure S/R levels.

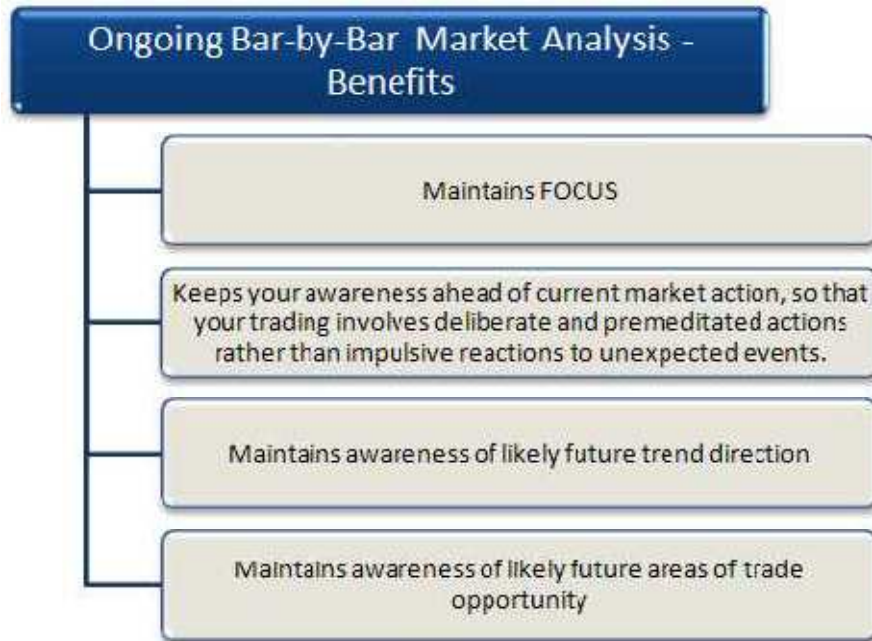
Actions:

What price action would validate your assessment of *future trend* direction?

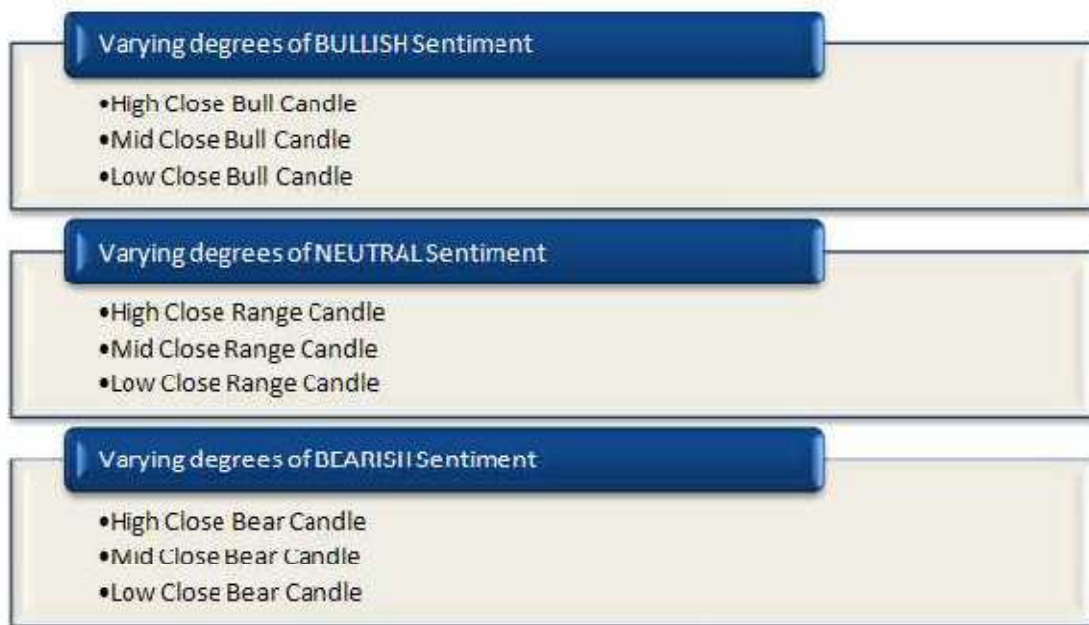
What price action would invalidate your assessment of *future trend* direction?

Step 6 - Identify Areas of Trade Opportunity

Ongoing Market Analysis – Theory



Determine Candle Pattern Sentiment



Classifying the candle in this way gives us an immediate feel for the sentiment of the short-term candle pattern.

All Bull Candles are bullish, but the sentiment varies slightly depending on its close position (high, mid or low).

All Range Candles are neutral, but the sentiment varies slightly depending on its close position (high, mid or low).

And the same applies to Bear Candles, which are bearish, although varying slightly in sentiment depending on their close position (high, mid or low).

The classification is made through observing the following characteristics of the latest candle:

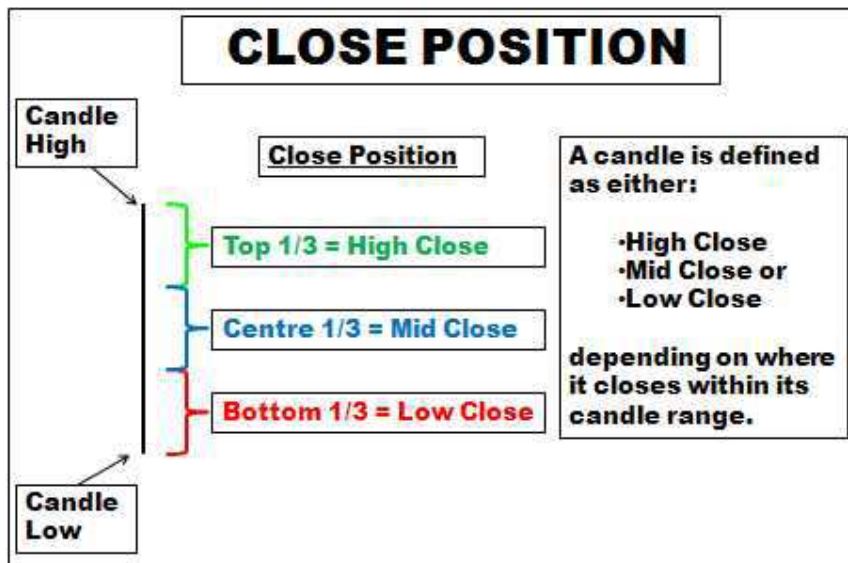
Close Comparison

Close Position

Close Position

The Close Position allows us to determine the sentiment of a single candle.

We define a candle as a High Close candle, Mid Close candle or Low Close candle, depending on where price closes within its high to low range.



A **High Close candle** is one in which the closing price is within the upper third of the candle range.

A **Mid Close candle** is one in which the closing price is within the middle third of the candle range.

The sentiment of a mid-close candle is considered more neutral, as price has been driven both higher and lower, before closing somewhere mid range.



A **Low Close candle** is one in which the closing price is within the lower third of the candle range.

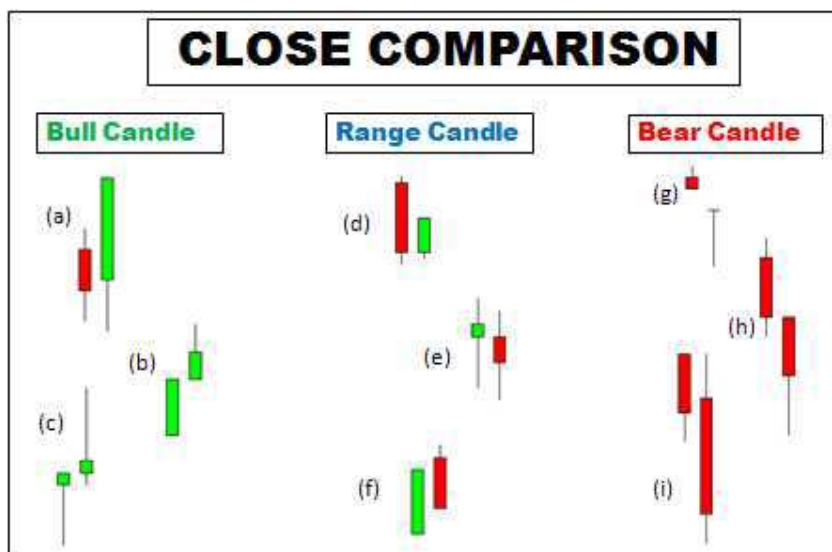
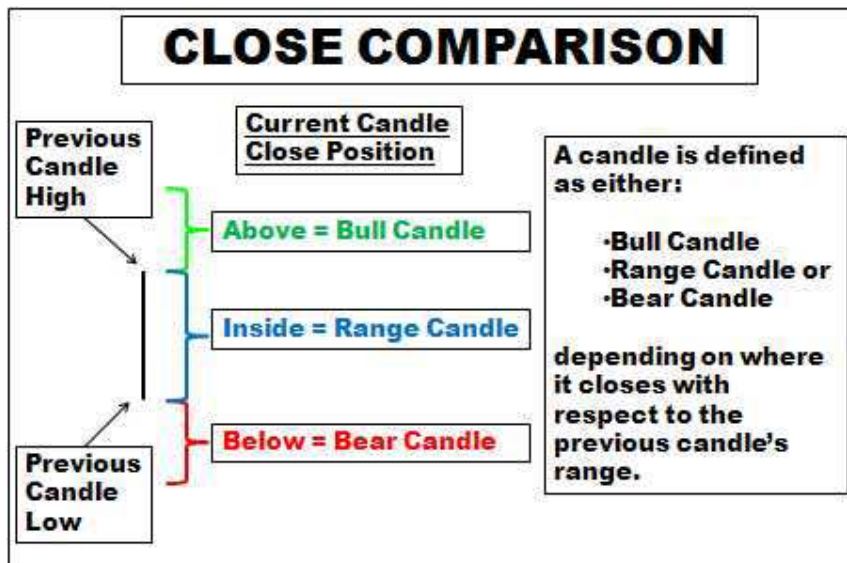
Close Comparison

We define a candle as a Bull Candle, Range Candle or Bear Candle, depending on where price closes with respect to the previous candle's range.

A **Bull Candle** is one which closes above the high of the previous candles range. This is demonstrated via (a) to (c) in the examples shown below (figure 3.109). Note that all three candles close above the high of the previous candle. A Bull Candle is considered to be displaying bullish sentiment.

A **Range Candle** is one which closes within the range of the previous candle. This is demonstrated via (d) to (f) in the examples below. Note that all three candles close within the range of the previous candle. A Range Candle is considered to be displaying neutral sentiment.

A **Bear Candle** is one which closes below the low of the previous candles range. This is demonstrated via (g) to (i) in the examples below. Note that all three candles close below the low of the previous candle. A Bear Candle is considered to be displaying bearish sentiment.



Determining Pattern Classification and Sentiment

Let's determine the sentiment of the latest 2-candle pattern. The starting point is simple. We look at the Close Comparison:

Bull Candle = bullish 2-candle pattern sentiment

Range Candle = neutral 2-candle pattern sentiment

Bear Candle = bearish 2-candle pattern sentiment

The Close Position (single candle pattern) will then be considered in order to determine the different degrees of bullishness or bearishness.

Refer back to the examples in figure above on the previous page.

While (a) to (c) all demonstrate a Bull Candle, and therefore bullish pattern sentiment, there are varying degrees of bullishness in each, which become obvious when adding in the Close Position to the pattern definition.

Candle (a) is what I refer to as a **High Close Bull Candle**. Both the high close and the bull candle components represent bullishness. Combined, these two indicate strongly bullish sentiment.

Compare this with (b) which shows a **Mid Close Bull Candle**. Price once again closed above the prior candle, but this time with a neutral close at mid-candle. Although still bullish, sentiment is less bullish than example (a).

In (c) we see a **Low Close Bull Candle**. Yes, it closed above the previous high, but higher prices were clearly rejected driving price to close near the low of the last candle. We have bullish sentiment (bull candle) combined with a bearish sentiment (low close). This is a weak bullish move.

Combining our close position analysis with our Bull Candle provides us with varying degrees of bullishness.

The same concept applies for our Range Candles, demonstrated via examples (d) to (f) above. A range candle on its own implies neutral sentiment, but by also considering the Close Position we gain some greater insight into the varying nature of that neutral sentiment.

Looking at (d) for example, we see a **High Close Range Candle**. The latest candle is a high close candle, closing right on the highs. Individually this appears bullish, but comparing it with the previous candle we see fact that the high close candle is simply retracing approximately 50% of the previous strongly bearish low close candle. Combined, this is probably slightly on the bearish side of neutral.

Likewise with example (f), a **Low Close Range Candle**; this combination is more on the bullish side of neutral. While example (e), a **Mid Close Range Candle**, is clearly neutral with price testing higher and lower twice now before settling closer to mid-range of both candles. Neither side is showing dominance.

A Bear Candle is one which closes below the lows of the previous candle. On the surface, that sounds bearish, but the degree of bearishness will vary when also considering our Close Position analysis.

Example (i) is a **Low Close Bear Candle**, demonstrating extremely bearish sentiment, as both the Close Position and Close Comparison components imply bearishness.

Contrast that with example (g), a **High Close Bear Candle**, which has clearly rejected lower prices and closed up at its highs. Still bearish, but showing some sign of bullish orderflow opposing our bearish sentiment. This 2-candle pattern displays weak bearish sentiment. Whereas example (h) is somewhere in-between, demonstrating a **Mid Close Bear Candle**.

Once again we have some bullish orderflow pushing price off the lows and opposing our bearish sentiment, but to a lesser degree than example (g).

The next step... consider our 2-candle pattern sentiment in the context of current market price action.

In considering the context of background market structure and price action, I primarily look at where price is in relation to three main areas – the location within the S/R structure, the location within the trend, and where we are in reference to key swing highs or lows.

Support and Resistance

Where is the pattern occurring with respect to *higher timeframe* support and resistance?

Has the market shown strength or weakness on approach to the S/R area? Is the current candle pattern sentiment continuing this strength or weakness, or has something changed?

Is the pattern showing signs of orderflow opposing the move into S/R, such as tails rejecting price at or near the S/R level?

Has the pattern breached the area of S/R? If so, is it now showing signs of acceptance or rejection of this new area?

Trend

Where is the pattern occurring within the current trend?

Is it on an extension? Is it early in the move, or late and overextended? Has it projected past the previous swing high/low?

Is it on a pullback? Is it early in the move, or has it continued deeper than anticipated? Is it a single swing pullback, or is this pattern a part of a multiple swing retracement.

Or is the pattern within a sideways trading range or other form of consolidation pattern?

Swing Highs and Lows

Is price testing any areas of swing highs or lows? Of particular importance are those which lead to a change of trend definition; how is price reacting at those swing highs or lows?

For an uptrend:

Pullbacks to previous areas of swing low support should be watched closely. We expect them to hold. Is the price action showing signs of the level holding, or is it threatening to break? If it breaks, is price showing signs of rejection (opposing orderflow / difficulty continuing) or is price accepting this new area?

Pullbacks to previous swing highs (within an uptrend) are not as critical, but should still be watched for their reaction.

Extensions are expected to break the previous swing high. Is price action supporting that premise, or is the candle pattern showing weakness. If it can't exceed the previous swing high, we need to be alert for further signs of weakness which may forecast a complex correction or reversal.

For a downtrend:

Pullbacks to previous areas of swing high resistance should be watched closely. We expect them to hold. Is the price action showing signs of the level holding, or is it threatening to break? If it breaks, is price showing signs of rejection (opposing orderflow / difficulty continuing) or is price accepting this new area?

Pullbacks to previous swing lows (within a downtrend) are not as critical, but should still be watched for their reaction.

Extensions are expected to break the previous swing low. Is price action supporting that premise, or is the candle pattern showing weakness. If it can't break the previous swing low, we need to be alert for further signs of weakness which may forecast a complex correction or reversal.

For a sideways trend:

Is price testing a range boundary?

Has the market shown strength or weakness on approach to the boundary? Is the current candle pattern sentiment continuing this strength or weakness, or has something changed?

Is the pattern showing signs of orderflow opposing the move into the range boundary, such as tails rejecting price at or near the level?

Has the pattern breached the area of range S/R? If so, is it now showing signs of acceptance or rejection of this new area?



Ongoing Market Analysis Process Summary



Ongoing Market Analysis Checklist

Step 1 – Determine Candle Pattern Sentiment

Classify the candle pattern and determine the short-term sentiment of price.

Actions:

Classify the candle pattern

- o High / Mid / Low Close
- o Bull / Range / Bear Candle

Determine the sentiment of the pattern

Step 2 – Consider the Context

Every pattern is unique and MUST be considered in the context of the background market environment in which it occurs.

Actions:

Where is the current price action in relation to key market structure features:

- o Support or Resistance
- o Trend
- o Swing Highs and Lows

What does this mean with respect to the sentiment of the pattern and the potential future price action?

Step 3 – Does it Support my Premise?

Is the market action continuing as expected, or is something indicating we're out of sync with market flow?

Actions:

Does the current price action and sentiment support our previous expectations for future price action?

- ☐ Yes
 - Await further price information.
- ☐ No
 - Decide whether to hold for the next candle, or to reconsider the Initial Market Analysis.
- ☐ Unsure
 - Wait for further price information.

Step 4 – Repeat

Actions:

Repeat the process as new information appears on the chart.

Alternate Questions and Methods for Price Action Analysis

1) Winners and Losers in the Market

- a. Who is dominating the current swing, bulls or bears?
- b. Are they correct?
- c. If they're wrong:
 - i. Where is this move likely to stall? Where is the opposite order flow likely to enter the market?
 - ii. Where will these traders have positioned their stops?
- d. If they're right:
 - i. Where are these traders targeting? Where are they going to take profits or lighten their position?
- e. If they're in the right direction, but late:
 - i. Where is the worst place to be entering late in this move? Where will the late traders be stopped out?

2) Trapped Traders

- a. Where is the last group of trapped traders?
- b. Where are they hoping to get out? How will that affect price?
- c. Where will they give up and bail out? How will that affect price?

3) Expectations - Most Likely Price Movement

- a. What do you expect the market to do from here?
 - i. Why do you expect that?
 - ii. How would price have to behave prior to that move occurring?
 - iii. Is price behaving this way?

- b. If the most likely scenario does not eventuate, what else could the market do?
 - i. How would price have to behave prior to that move occurring?
 - ii. Is price behaving this way?
- c. Is there a third possibility for a potential market move?
 - i. How would price have to behave prior to that move occurring?
 - ii. Is price behaving this way?

4) Expectations – Bullish, Bearish, Neutral

- a. What would a bullish market do here?
 - i. How would price have to behave prior to that move occurring?
 - ii. Is price behaving this way?
- b. What would a bearish market do here?
 - i. How would price have to behave prior to that move occurring?
 - ii. Is price behaving this way?
- c. What would a neutral market do here?
 - i. How would price have to behave prior to that move occurring?
 - ii. Is price behaving this way?

5) Bulls Vs Bears

- a. Who is in control – the bulls, the bears, or neither?
- b. Why?
- c. How dominant are they?
- d. What beliefs led to this current market action?
- e. Is control changing?
- f. What would have to happen to indicate a change of control between the bulls and bears?
- g. What would cause the maximum fear in the current dominant power?

6) Professionals Vs Novices

- a. Where did the professionals enter?
 - i. Where's their stop?
 - ii. What will happen if price hits their stop?
 - iii. Where's their target?
 - iv. What will happen if price hits their target?
- b. Where did the novices enter?
 - i. Where's their stop?
 - ii. What will happen if price hits their stop?
 - iii. Where's their target?
 - iv. What will happen if price hits their target?
- c. Where will the professionals enter?
 - i. What does it mean if price reaches this area?
 - ii. What does it mean if price doesn't reach this area?
 - iii. Where will they place their stop?
 - iv. What will happen if price hits their stop?
 - v. Where will they place their target?
 - vi. What will happen if price hits their target?
- d. Where will the novices enter?

- i. What does it mean if price reaches this area?
- ii. What does it mean if price doesn't reach this area?
- iii. Where will they place their stop?
- iv. What will happen if price hits their stop?
- v. Where will they place their target?
- vi. What will happen if price hits their target?

7) Best vs. Worst

- a. Where is the best place to be entering, or adding to a position?
- b. Where is the worst place to be entering, or adding to a position?

8) Market Structure

- a. Where did we open today relative to yesterday's close, low and high? What does this mean?
- b. Where are we trading relative to yesterday's close, low and high? What does this mean?
- c. Where are we trading relative to today's opening price and the opening price range? What does this mean?



Learn to view all price movement from the perspective of other traders, and how the price movement influences their decision making.

See the bears entering at point A with anticipation and greed, with their sell orders, expecting lower prices to follow the breakout.

See the bulls who bought at point B expecting support to hold. These people are panicking – they're in drawdown – the market is moving fast against them. Those bulls who aren't frozen will be activating their stops, adding to the bearish pressure, forcing price even lower.

Traders, making trading decisions. When price stalls at point C, don't just see a swing low. See the shorter-term traders who caught the breakout, covering their position to take profits. This adds to bullish pressure and slows the breakout move. See also some new bulls deciding to enter long, in the hope of catching a breakout failure. These trader decisions, and their resultant buy orders, were enough to tip the supply / demand equation to the bullish side, causing a retrace.

Don't just see a breakout pullback at point D.

See the traders who missed the original breakout, enthusiastically selling as price gives them a second opportunity to enter short, or perhaps those who did catch the original move deciding to add to their position. Both scenarios adding to the bearish pressure.

See the traders who were long from point B, having suffered through the drawdown to point C, enthusiastically selling as the pullback offers them an opportunity to get out at close to their entry point for a reduced loss. Once again, adding to the bearish pressure.

See the more astute short-term traders who entered long at C in anticipation of a scalp back to the breakout point taking their profits via a sell order, further adding to the bearish pressure. Then as this bearish pressure causes price to move down again from point D, see those longs

who bought at C in expectation of a breakout failure and longer term reversal back to new highs, having to sell in panic as they realise that the breakout failure did not occur and they're stuck in a losing position.

All these trading decisions lead to a bearish sentiment, bearish pressure, bearish net order flow, and therefore a price fall.

S/R are areas on the price chart which form barriers to price movement. Support acts as a floor, limiting further downward movement. Resistance acts as a ceiling, limiting further upward movement.



Let's work through an example using the price action of figure 3.3, which reproduces the figure

3.2 data but also shows a little of the prior action. Price had been in a slow grinding uptrend for

two days (not shown), prior to accelerating up to swing high A. Swing low B took price back to the point where acceleration commenced up to A, affording those who missed the initial move a second opportunity to enter long.

For the purposes of our discussion, consider initially the thoughts and fears of those traders who established a long position prior to the initial move to A.

Some will be concerned at the strength of the fall from A to B. Note how the rally to A took three price swings, while the fall back to B was one swift move, even breaking below the previous swing low marked via a horizontal line. This is quite a bearish swing. Profit taking at A, combined with the possible introduction of new shorts, has driven price back quite strongly.

Seeing such a strong bearish move, traders in a long position will naturally experience some regret that they didn't take profits at A, when price was much greater than it is now. Then they could have bought again as B held (the point of initiation of the accelerating swing up to A) for a second opportunity to profit.

Regretting this missed opportunity to sell at A, the trader will resolve to not miss that same opportunity if it should once again present itself. If only price can get back to A, they'll be ready with their sell orders.

This creates the pause in the rally at point C, as profit taking again places a cap on upwards movement, even if just temporarily.

However, you'll note that swing from B to C was also quite bullish. Some traders who had initially decided to take profits at C will change their mind and hold, with renewed (albeit cautious) confidence.

New longs, who took the second chance entry at B will likewise hold with confidence.

However this confidence is seriously dented as point D fails to push any significant distance above A. Inability to push higher implies either a lack of new buying at these higher prices and/or the introduction of new selling as the bears position themselves short expecting a reversal.

The market sentiment is clearly not bullish at these levels, otherwise the break above A would have led to another strong leg upwards.

Additional longs will take profit at the pause at D, adding to selling pressure and further capping prices.

Consider now the *late* longs, who entered at the top of the move right into swing high D, as price broke above swing high A. These traders are quite frustrated; having missed the great profit opportunity up to A, and between B & C, they now find themselves in a painful, extended drawdown as price grinds sideways through area E.

These traders will be looking for any opportunity to salvage the situation, swearing that if price can just get back to their entry point, they'll take the opportunity to get out at breakeven.

The market affords them that opportunity at points F, G and H. This selling adds to any bearish orderflow from new bears, creating what appears on the chart as resistance within this one common area.

The resistance has been created due to the traders within the market perceiving prices around 1.4600 as being high, and therefore a selling opportunity.



Consider the move downwards from point H, and in particular the mindset and thought processes of those holding a short position.

Where are they expecting buying to again come into the market, which might limit any further downside movement? They'll observe swing low B and note the rapid rate at which price last rejected that level and exploded back up to C.

Expectations are that if traders previously perceived great buying opportunity at point B (vicinity 1.4400/20), then they may do so again.

Shorts will be looking to take profits, or at least cover part of their position, as price approaches abeam B. This bullish demand (buy orders to cover the short) will add to any other buy orders from new longs on the retest of B, to halt the downward move.

Trader expectation of support abeam B has produced support at areas I, J, K and L.



The candles at swing high A, in figure 3.14, are too large to completely define a resistance level.

In this case I would use the area from the top of swing high A to the point of breakout above swing high B.

Resistance at C is defined by the upper tails.

Support at D is defined by the lower tails.

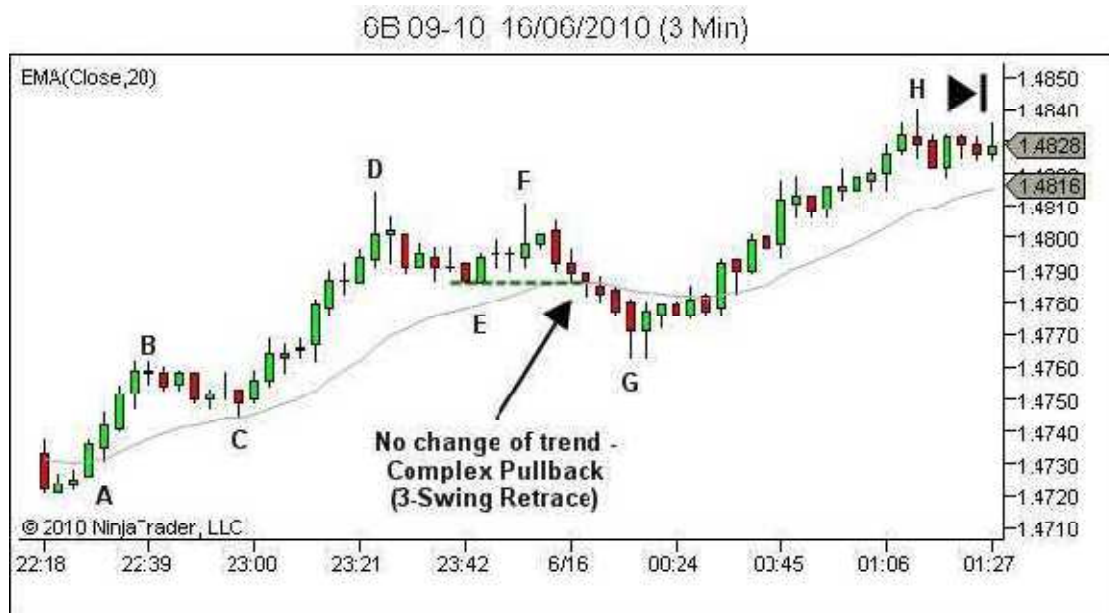
Swing low E has quite large tails. Rather than encompassing this whole area, I'd mark the support area as being the portion of the tails which broke the low side of the area of congestion at F.



In the figure above an area of resistance is defined by swing high A, and the top of a subsequent area of sideways congestion. I would mark this area simply as the upper tails.

Support is defined by swing low B. I'd draw the support area enclosing the whole range of the narrow-range candle at swing low B.

TREND EXAMPLES



6B 09-10 1/07/2010 (3 Min)



6B 09-10 3/07/2010 (3 Min)

